



**2024**

Annual and Sustainability Report



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# We are something different, something more

## Address by the CEO

The aim of Heimar is clear; We want to be the most dynamic and progressive real estate company in the country.

We are in the process of developing from a traditional real estate company, which limits itself to concrete and glass, into a force behind the development of modern, sustainable city cores which feed on the drive and entrepreneurship of the people in this country.

We must bear in mind the different needs, the new generation of consumers, the greater densification of settlements, changing transportation, and demands for sustainability to create value for society, customers, and investors. All of this comprises the key to diverse financing possibilities and more favourable terms at financial institutions.

We are not only sharpening the policies of Heimar but also changing the image of the company into something more akin to who we really are. A company which creates avenues for exciting opportunities and growth for our lessees.



In order to communicate our policy, we took steps to revolutionise the marketing emphases of the company and simultaneously adopted a new name and logo.

We chose a big name. A name that helps us grow and think further. A name that inspires us and is in accordance with our new emphases. Heimar is a positive and memorable Icelandic name that nicely encompasses the brand's activities and future vision. A name that offers new opportunities and new goals.

### A clear policy and unique portfolio

Heimar's policy regarding the location and required rate of return for the company's properties is clear. It has led to the sale of particular assets which do not belong to cores and instead there has been investment in assets in key areas which conform to the company's ideology regarding the development of cores. An example of such areas where the company has a strong footing is the area around Smáralind, the city centre of Reykjavík, Borgartún, and the town centre of Garðabær. Currently, 67% of the square metres in Heimar's portfolio (which account for around 71% of its value) are located in such cores.

The portfolio of Heimar contains 94 properties which amount to just under four thousand square metres, valued at about ISK 191 billion. The number of lessees is around 400, and the rental ratio in the portfolio is 97%.

There is much growth in the operation, renovation, and construction of the main cores of Heimar. Höfðatorg is fully rented out, Hafnartorg is in development, we are finishing our construction of a health service core at Akureyri, we are working on the development of a nursing home in Sóltún, and we will soon open up a 3000 square metre office space in Smáralind. In addition, one of the most elegant restaurant areas in Iceland will open in the eastern end of Smáralind in 2025. Also, the space for

innovation and ideas, Gróska, will be added to the portfolio in the year 2025.

### A sound investment option

Heimar was the company whose stock rose the most in the Icelandic Stock Exchange in the year 2024. There are many opportunities ahead for increased value creation for the company's beneficiaries, concurrent with lowering interest rates and stated plans for infrastructure development.

For those who want to stand with the Icelandic economy and invest in a company with a combination of index-linked and turnover-related cash flows from a diverse group of lessees, with almost half of the income coming from public entities and registered companies, Heimar will remain a respectable investment option. A considerable increase in the number of both bigger and smaller shareholders in the past few years has laid a good foundation for the upcoming projects.

We mean to strengthen the core operation of Heimar even further in the future, regarding the development of both housing and infrastructure, but we must also look to new areas which are likely to play a key role in city development in the coming years and decades.

In order to ensure the growth and prosperity of a company such as Heimar, two things are needed: an immediate view of the possibilities and a long view. Let's not forget the fact that successful communities are constructed over many generations. Our responsibility is therefore great, and we mean to live up to it.

The company is more unique than ever before and that's the way we like it.





# A stable and reliable investment opportunity

## Four reasons why Heimar is a reliable investment option

Investment in Heimar involves taking the long view and siding with the Icelandic economy, the future development of the urban environment, and sustainable value creation.



### Diverse portfolio

Heimar set up a well distributed and diversified portfolio which covers different industries and locations in key areas. By focusing exclusively on high-quality properties with long-term value creation, the company contributes to constant growth and reliable returns for the shareholders.

The company has a clear investment policy. The assets are to be:

- Located within the core areas of the company
- Environmentally certified
- Leased to public entities or registered companies



### Core areas

Heimar has defined eight core areas in the greater Reykjavík area and Akureyri which the company considers to be areas of the future with surplus value creation. With a significant emphasis on diverse properties within these areas, the company has a formative influence on the development of the urban environment and contributes to a mix of commercial operations, services, residences, and recreation.

Also, Heimar owns one-third of the real estate development company Klasi, which will construct tens of thousands of square metres of commercial premises in the coming years. The company has an option to buy properties within this project which conform to the investment policy of Heimar.





## Stable operation

The revenue of Heimar is indexed and tied to long-term leases, which makes the company's revenue base uniquely stable.

There are significant opportunities to create additional revenue in busy key areas, which are increasingly becoming part of the company's revenue base. An example of such revenue are parking lots, electric car chargers, and advertisement screens.

The company focuses on returning the value created within the operation to the shareholders with dividend payments or repurchases of their own stocks, in accordance with the company's dividend policy.



## Environmentally certified properties

Heimar has established a unique position among Icelandic real estate companies with its progressive points of emphasis regarding sustainability. 38% of the company's portfolio is already environmentally certified, and that proportionate increase is still in progress.

Environmentally certified properties lower operational expenses, create opportunities for the issuance of green bonds, and increase the allure for international investors and lenders.

The scope for issuing green bonds now exceeds ISK 20 billion, which has played a significant part in the favourable refinancing of the company.



# The Real Estate Market

## Insights into, and an overview of, the entire market

### A growing market

A market with commercial premises leased to companies and public entities to a large extent coincides with the development of the Icelandic economy. In the past 10 years, the Icelandic economy has developed favourably, the annual growth has amounted to 3.5% on average, although growth slowed in the previous year. Predictions indicate that, in the next three years, growth will once again pick up at an average rate of 2.5%. This is positive news for a market in commercial premises, as the increased activity of companies and public entities increases the demand for such housing.

Despite much growth during the past 10 years, half as much office space and commercial real estate was built from 2014 to 2024 as in the preceding decade. In the past 10 years, the annual increase in commercial real estate and office spaces has amounted to 0.3%. There has been great demand in these categories in the past few years, and therefore the rental ratio has remained high.

In a recent survey conducted by Heimar among the clients of the company, it is revealed that 21% of the company's clients will require a somewhat larger or significantly larger space in the year 2025. Only 3% of clients will require a smaller or somewhat smaller space in the year. Given these answers and an estimated annual growth of 2.5% during the next three years, it's clear that the market in commercial real estate will continue to grow and that it is necessary to develop and construct commercial premises to meet that demand.

**„21%** *of the company's clients will require a larger space in 2025"*



## Location is important

Demand for commercial premises is not uniform across categories and locations. The clients of Heimar have confirmed in annual surveys their three most important considerations in the selection of commercial premises: Location, quality, and price.

A good location is the key element in the core policy of Heimar, which is based on offering commercial premises in several well selected key areas within the greater Reykjavík area. By renting out spaces in a core area the benefits are increased, as diverse

services and populous areas have been developed in the core areas of Heimar, which are beneficial to all clients and guests within the area.

## Increased quality requirements

There are clear indications that there are demands for increased quality in commercial premises among clients. A focus on the increased quality of commercial premises is an international development which also covers other categories of housing, such as apartments. Examples of increased quality requirements:



## Increased requirements

The quality of real estate are given increased significance among clients. They directly influence the well-being of staff where, for example, light, acoustics, and air-quality effects staff who are present in their workplace for entire days. Various features, such as the quality of parking lots, bicycle spaces, and trash sorting are among important quality elements when selecting commercial premises for the operations of companies and public entities.



## Technological development

Recent advances in property management technology—such as IoT monitors, automated building controls, and energy-saving solutions—have improved operations while reducing environmental impact and costs.



## Sustainability

Investors and clients have increasingly come to focus on sustainability. Environmentally certified properties today make up 38% of the portfolio of Heimar and, therefore, the company is quite unique among its main competitors. The focus on sustainability in real estate operations reduces both the expenses of the lessee and various risk factors, in addition to creating a unique market position towards clients.



## Development of Asset Classes

Asset classes in commercial premises each have their unique characteristics and they do not all develop in the same manner. Aforementioned factors; the importance of location and increased quality, are important for every asset class, however. The main characteristics of asset classes are:

### Offices

During the worldwide coronavirus pandemic, as staff increasingly worked from home, there was significant discussion and speculation regarding the future of offices and to what extent staff would be returning back to the office.

Today, three years after the pandemic ended, it's clear that staff has increasingly begun to return to the office. There are various reasons for this, a few of whom are that people are social beings who want companionship, certain tasks such as conceptual work are hard to accomplish remotely, as well as the fact that remote work is detrimental to corporate culture and the training and integration of new employees. However, after people had gotten used to working in a warm environment where they were comfortable, there are increasing demands for office quality to improve the well-being of staff. Many employees spend the better part of their waking hours in the workplace and, therefore, how people feel in the workplace has a significant effect on their quality of life.

Examples of biological elements which effect the well-being of people are quantity and control of illumination, as well as acoustics and air quality. Also, design, colour selection, and furniture selection affect the warmth of the workplace and, thus, the well-being of the employees. As offices are designed, there is an increasing demand for flexible workspaces to bolster a project-centred working environment and a mixed working arrangement. Within industries where there is a lot of competition for employees, as in the software industry, there is a great focus on the quality and design of offices, as it is

considered part of the unique status and culture of corporations when it comes to hiring and retaining sought-after employees. Foreign surveys conclude that 80% of young people in the job market believe that the quality of the working environment is important in selecting a new job.

There has been a high demand for industrial housing and storage. Requirements for increased quality and location apply to this asset class, as well as the other ones. Besides the growth of the market, industrial housing is being replaced by residential land in several areas within the greater Reykjavík area, for instance at Ártúnshöfði and Hraunin in Hafnarfjörður where demand for this group of assets is still increasing.

### Retail

Retail stores are an important way to strengthen the image of brands and reach new customers. In retail stores, the focus is on visibility with large windows and ad-marquees, as retail stores are the main marketing method through which brands can catch the eye of new customers, create connections with them, and bolster the image of the brand. There is an ever-increasing emphasis on the appearance of a space, and on both reflecting the brand and reaching the right demographics with colour selection, fixtures, and presentation. The integration of retail stores and internet shopping is increasing, where the strength of retail stores lies in the good service of retail workers, opportunities to try on and test products, and the strong image of well designed retail spaces.

### Specialised housing

Public entities have increasingly begun to seek the services of private parties when it comes to specialised housing, such as preschools and nursing homes. Around 33% of the rental income of Heimar comes from public entities and the portfolio of Heimar includes football buildings, gymnasiums, skating rinks, pre-schools, and nursing homes. This is a growing market and Heimar will continue to offer public entities specialised housing for long-term rent.











# About Heimar

## Policy priorities and future vision

Heimar is a leading real estate company that specialises in investing in, leasing and managing commercial premises in Iceland.

**The company's vision for the future is based on three main factors.**

- Core areas - The integration of commercial premises, services, and social elements to create vibrant and sustainable city cores.
- Sustainability - A focus on environmental certifications, greener operations, and targeted action to reduce environmental effects.
- Property management - Experience in managing complex structures, which ensures efficiency and high-quality services for tenants.

With a portfolio containing 94 properties, which cover a total of 365,000 square metres, 67% of which are within defined cores, the company has a solid foundation to construct sustainable and modern city cores. The portfolio is diverse and includes retail stores, office spaces, restaurants, and other specialised structures with a rental ratio of 97%.



**94**

No. of properties



**400**

No. of lessees



**76**

Number of employees



**97%**

Rental ratio



**38%**

Environmentally certified m<sup>2</sup>



**365** thousand m<sup>2</sup>

Size of portfolio



ISK **191** billion

Investment properties



## Cores

Core areas are the heart of the operation and Heimar's policy regarding the location and requirements for the company's properties is clear.

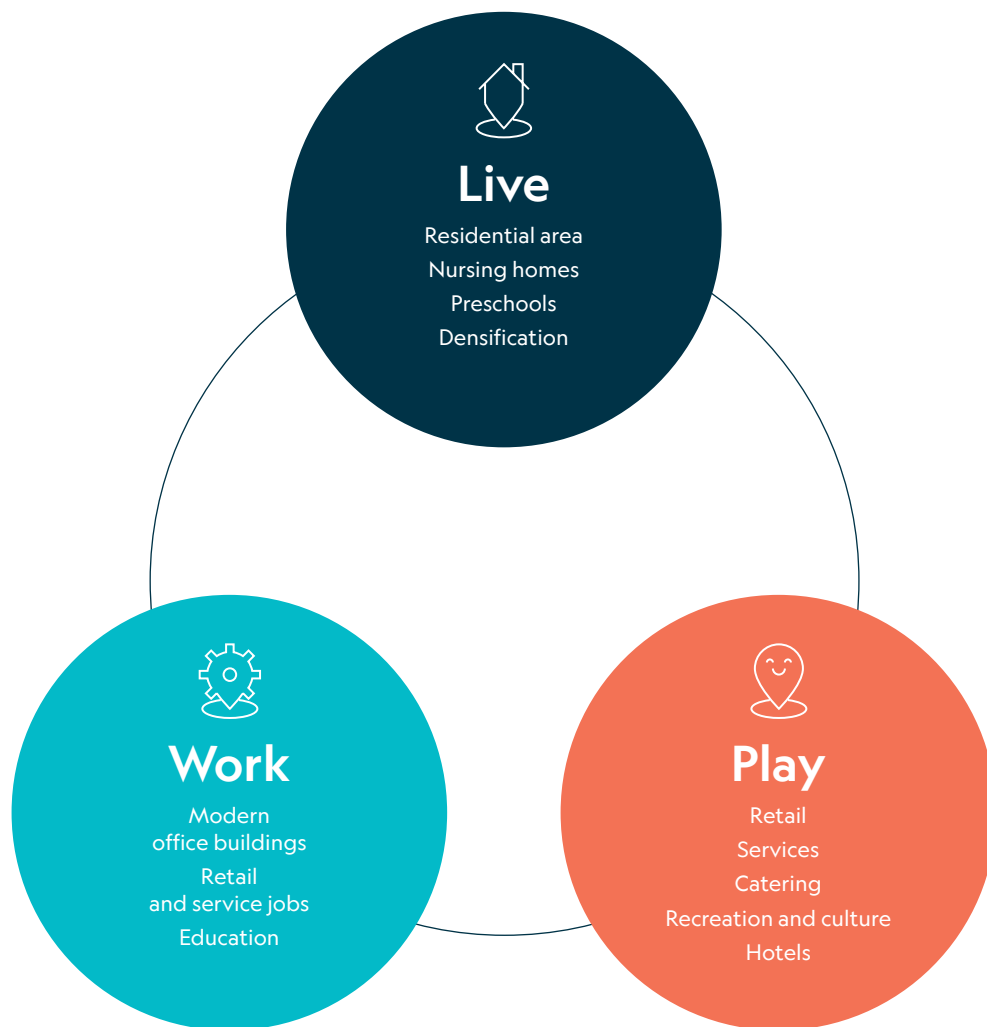
The company has focused on consolidating and promoting defined core areas which include, among others: The Smáralind area, central Reykjavík, Borgartún, and central Garðabær. Properties that account for about 71% of the company's rental income are already located in defined cores.

In recent years, the company has sold individual properties that do not comply

with the policy on investments in cores and invested in properties within cores. The development of the company's portfolio in this direction is designed to meet the changing attitudes of society, the new generation of consumers, the densification of settlements, changing transportation, and demands for sustainability to add value to society, customers, and investors.

The core areas of the company, which now cover 67% of the square metres within the portfolio, contribute to integrating commercial activity, services, and residency in a coordinated and sustainable manner, and reflect the vision of Heimar of communities where people can **live, play, and work** within the same area.

**„71%** *of the rental income  
of the company comes  
from defined cores”*



## The advantage of core areas

### For residents

- A diverse and lively area increases the quality of life
- A selection of services within easy reach reduces travel time
- Reduces the need for car ownership

### For the environment

- Less driving
- Shared parking/electric charging stations around the clock
- Promotes public transport
- Better utilisation of infrastructure

### For Heimar

- Investment in the core supports other properties in the core area
- A better selection of restaurants supports residents, offices, and retail operations
- Recreation such as fitness centres supports shops, restaurants, and offices





**95%**  
of purchased properties  
within core areas



**98%**  
of sold properties outside  
core areas

- Purchased properties from 2018  
60,000m<sup>2</sup> | 13 properties
- Sold properties since 2018  
41,000m<sup>2</sup> | 42 properties
- Properties in core areas  
purchased/built before 2018



**Miðbær  
Reykjavíkur**  
27 þús m<sup>2</sup>

**Borgartún**  
59 þús m<sup>2</sup>

**Egilshöll**  
33 þús m<sup>2</sup>

**Borgarhöfði**  
Framtíðar  
þróunarsvæði

**Mjódd**  
Framtíðar-  
þróunarsvæði

**Smárinn**  
76 þús m<sup>2</sup>

**Garðatorg**  
12 þús m<sup>2</sup>

**Akureyri**  
22 þús m<sup>2</sup>



## Real and effective measures for sustainability

Heimar is dedicated to being a leader in the development and construction of strong core areas with an emphasis on sustainable operations of properties contributing to the well-being of society, improved quality of life, and the environment of the residents.

Sustainability is a key factor in the operation of Heimar, with 38% of the company's portfolio being environmentally certified according to the BREEAM In-Use-standards. The goal is to raise the ratio up to 50% by 2030. Thus, the company has taken real action to reduce the environmental impact of its operations. Also, the sustainability efforts of the company have led to a considerable decrease in greenhouse gas emissions within its own real estate operation, a decrease of about 12% in the years 2019-2024.

Smart trash bins are one of the innovative solutions of Heimar which underpin sustainable operations. By weighing and sorting trash, the solution provides lessees with a clear insight into their environmental impact. The solution has led to an increase of almost 42% in waste sorting and is now used in Smáralind, at Hafnartorg, and in the tower at Höfðatorg.

Charging stations are another important factor in Heimar's green solutions, and the company runs 145 charging lots, 126 of which are open to the public, contributing to sustainable energy consumption as well as better facilities for customers.

Since Heimar received their first BREEAM In-Use-certification in 2019 for its largest property, Smáralind, strategic efforts have been made to have the entire portfolio certified. This year Áslandsskóli received its certification, the tower at Höfðatorg at Katrínartún was recertified, and efforts were made to get Dvergshöfði 2 and Borgartún 8-16 certified. Last year, Egilshöll received a certification and Smáralind was recertified.

Sustainability is not only an environmental issue but a business opportunity. By focusing on greener solutions, the company hasn't only reduced its own emissions but also strengthened its image as a responsible and progressive lessor. This has resulted in an increase in trust and more long-term contracts.





## Property management, a competitive advantage for Heimar

The experience of Heimar in the management of large properties such as Smáralind, Egilshöll, and other core areas gives the company a competitive edge.

The knowledge and experience within the company enable it to offer specialised solutions and services to customers, ranging from smaller companies to large public entities.

By constantly communicating with tenants both present and future, Heimar has managed to strengthen its footing as an expert in property management. The company is familiar with the needs of different demographics and offers solutions which facilitate both the everyday operation and the future vision of the clients.

Focusing on sustainability and efficient management also has a positive effect on the value of assets within the core areas. By better utilising infrastructure, having a better mix of tenants, offering more diverse services, and reducing environmental impacts, Heimar creates an environment which is attractive to new tenants and contributes to their prosperity.

The operation and organisation of properties has a significant impact on the environment, customers' activities, and people's quality of life, as tens of thousands of people stay in its properties every day, either for leisure or work.

The staff of Heimar performs various tasks in the company's properties and keep their daily operations running. These include, for example: house and furniture builders; mechanics; service representatives; property managers; janitors; and business, engineering, and technical experts. This increases the quality of the service and brings the company closer to customers. The company has gained a unique position for itself among Icelandic real estate companies with this diverse knowledge and experience in the everyday management of properties.





## Heimar as a workplace

Heimar is a progressive real estate company which is ambitious regarding support for its staff and new staff is always welcomed.

Together, the group of employees forms a strong unit which works purposefully towards a clear vision of the future. Heimar has proven to be a desirable partner and employer for ambitious and progressive people.

Emphasis is placed on making the best use of everyone's strengths, fostering the development of individuals, and strengthening the team. Employees are in close contact across departments and branches and share information because teams work best if there is trust between parties. Each one contributes to ensure that the whole is greater than the sum of its parts.

### Living, playing, and working

Just as a strong city core is built with units where one can live, play, and work, the workplace culture of the company is based on the same ideology.

- **LIVING** - Employees are offered flexible hours and leeway to tend to personal matters. It is the belief of the company that by creating a working environment which supports staff as they play and work, Heimar will become an outstanding workplace which meets the requirements of different generations.
- **PLAYING** - Work is fun. The company's employee association, Undirheimar, regularly stages diverse events which are all geared towards bringing the group together, from quizzes at noon to extravagant Christmas buffets and annual celebrations. Morale is high and the employees are harmonious.
- **WORK** - The focus is on speed, professionalism, and best practices. Employees are successful together and help each other out if needs be; together, the group of employees forms a strong unit which works purposefully towards a clear vision of the future. The employees of Heimar come from diverse backgrounds and have different responsibilities, but what they have in common is being dynamic, ambitious, solutions-oriented, and focused on results.





The employees of Heimar are proud of their workplace and they recommend it to others, as confirmed by the workplace analysis of 2024 with the highest rate of work satisfaction and well-being to date. With a clear policy, dynamic human resources management and regular surveys, we ensure that Heimar continues to be a leader in creating a working environment where





## A new identity for a new era

2024 marked the end of the rebranding process of Heimar, previously Reginn, where the company presented a new name and look to better clarify its vision for the future.

The aim of the company has long been to develop from a traditional real estate company, whose sole focus is on buildings and facilities, to a company which creates a community. The core areas of Heimar are based on human interaction and an ideology which is geared towards bettering the quality of life and supporting sustainability.

Heimar is an Icelandic, and memorable, name that reflects the brand's activities and future vision. The logo is modern, timeless, and versatile to be used across all media. It captures the diversity in the operation of Heimar with simple, geometrical lines. The colour palette, which is from the Icelandic landscape, blends the stable, dark tones of winter together with the bright colourful richness of summer.

The new logo has yielded measurable results. The image of Heimar is measured as 41% stronger now than in 2022, according to the Brandr index. Sustainability and social responsibility have also risen by 27% according to surveys, and the company's distinction from their competition has risen by 17%. Positive attitudes among customers and employees have increased and applications for jobs have become significantly more numerous.

The attention of investors has increased significantly, with more attendance of investor meetings and an increase in the turnover of shares. At the end of 2024, the share price of Heimar had risen by 72.5% after the introduction of a new name and image. These results underline the fact that Heimar is not only a leader in the real estate industry but also a progressive and exciting company in the market.



[More rebranding](#)





## The results

Heimar continued to excel in various areas in the year 2024 and received accolades for its outstanding work.

Such acknowledgements are an important confirmation of the fact that Heimar has done well in its operations and demonstrated professionalism, quality, and achievements in sustainability, management, marketing, and governance.

The new logo of Heimar was published in the middle of the year, and in a very short time it got nominated as the best Icelandic logo in 2024, which is a clear confirmation of the company's successful rebranding effort. The image of the logo scored 41% better compared with 2022, sustainability and social responsibility scored 27% higher, and the distinction in the market rose by 17%. These results show that the policy of Heimar has resulted in a strong position in the minds of the general public.

In addition, Heimar and Smáralind received a nomination from ÍMARK for the Icelandic Marketing Award in 2024, where Smáralind was nominated for digital advertising and Heimar for branding - the image of a logo. These nominations further confirm the company's thorough and ambitious work.

Heimar was recognised by Viðsiptablaðið and Keldan as a Model Firm in operations in 2024, which underlines the continuing fine performance of the company. In addition, the company was acknowledged as a model firm with regard to governance in the working year of 2023-2024 where the company's focus on good governance and transparency was outlined.

Also, the company was nominated outstanding company of 2024 by Creditinfo, an acknowledgement which Heimar has received each year since 2014. These results demonstrate the constant vigilance and success of the company in management and sustainability.

In addition, the company was recognised as a Model Firm in governance, which involves evaluating the practices of the Board and management.

The risk assessment of Reitun of the ESG factors of Heimar also showed a positive development, where the company's rating stayed the same from the previous year. The company still has a classification of B1 with 83 points, despite increased assessment demands, which confirms the company's strength when it comes to sustainability and responsible governance.

Also, Smáralind won first place in the Icelandic Balance of Satisfaction (Íslenska ánægjuvogin) in the category of shopping malls, for the fourth time in five years. The award reflects the trust and satisfaction of customers and confirms that Smáralind is the leading shopping mall in Iceland.

These accolades are a valuable reminder of the importance of the aims and values that govern the work of Heimar. They are also an encouragement to continue developing the operation, progress in the area of sustainability, and maintain the trust and satisfaction of customers, investors, and society as a whole.



Framúrskarandi  
fyrirtæki 2024





# Key figures

## Strong Growth in the Year

Rental income and EBITDA increase beyond price increases.



### Operations

**7.9%** (1.5% real growth)

Rental income increases between years

**6.9%** (0.5% real growth)

EBITDA rises between years

**71.6%** (72.2%)

EBITDA as % of rental income

**97%** (97%)

Utilisation ratio



### Profitability

**ISK 8.2bn** (ISK 3.8bn)

Post-tax profit

**ISK 8.2bn** (ISK 6.5bn)

Valuation changes to investment properties

**5.4%** (5.3%)

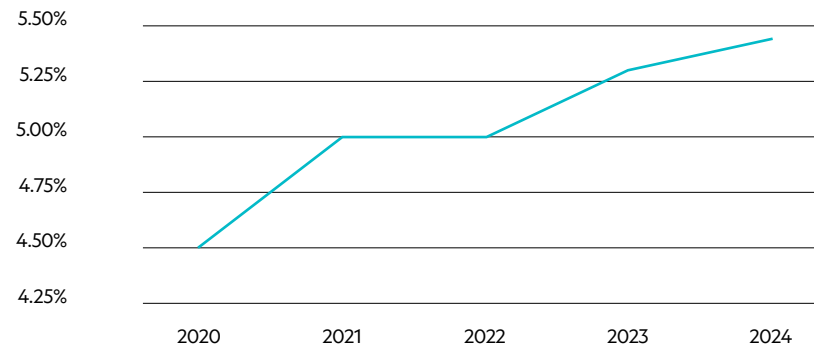
Profitability of investment properties

**14.2%** (7.1%)

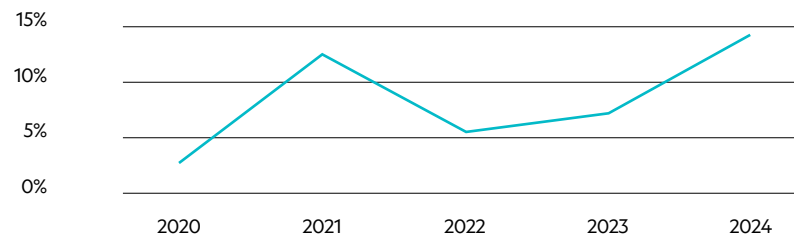
Return on equity

(2023)

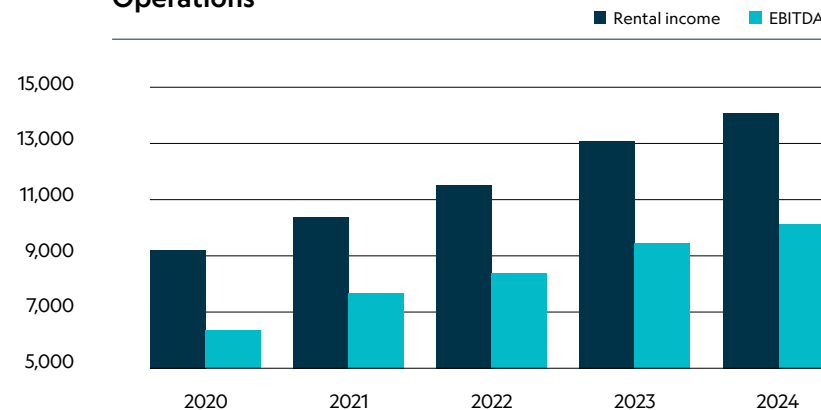
### Profitability of investment properties



### Return on equity



### Operations





## Balance Sheet

**ISK 191.4bn** (ISK 182.7bn)

Group's investment properties

**ISK 117.7bn** (ISK 116.3bn)

Interest-bearing liabilities

**62.5%** (64.8%)

Leverage ratio

**31.8%** (30%)

Equity ratio

(2023)



## Sustainability

**↓ 12%**

Carbon footprint\*

**38%**

Environmentally certified properties in m<sup>2</sup>

**↓ 11%**

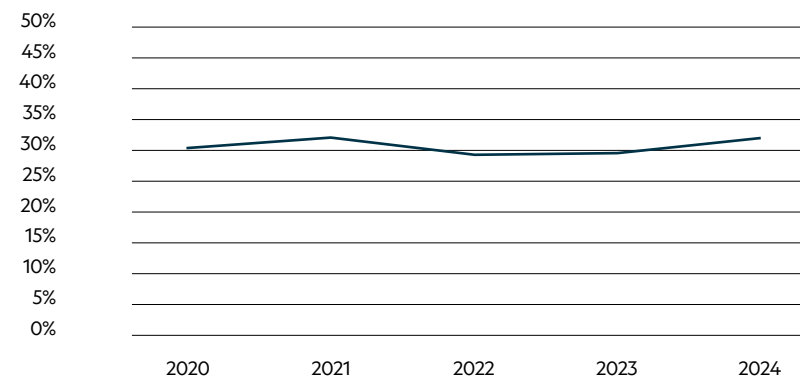
Electricity use\*

**↑ 2%**

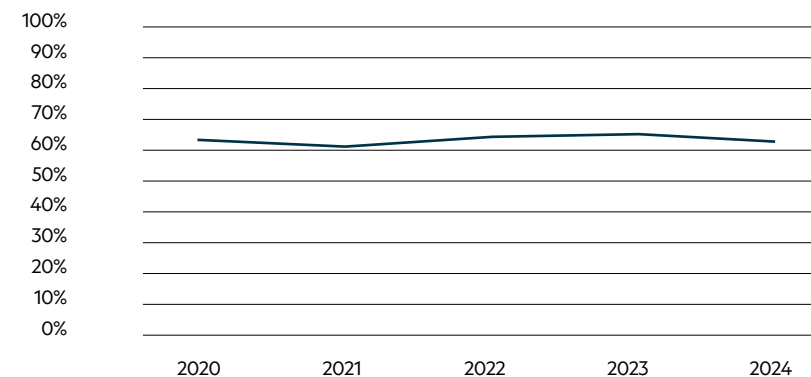
Hot water consumption\*

\*Comparison year 2019 - information regarding operational assets

## Equity ratio



## Leverage ratio







The success of the refinancing of the company from 2020 to 2022 is reflected in beneficial average interest rates.

Heimar utilised a beneficial interest rate to refinance less advantageous loans and the total refinancing need within the company in 2025 only amounts to ISK 1.2bn. The greater part of the final maturity of the next year is bank financing, as the company's unused lines of credit amounted to ISK 4.7bn. by the end of 2024.

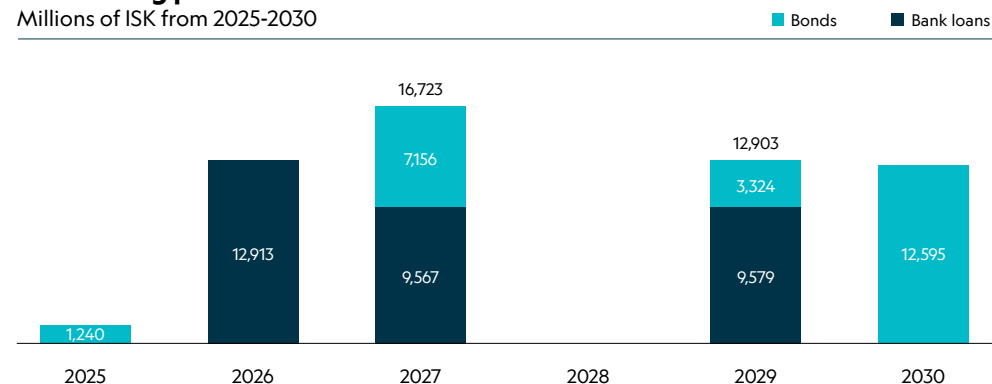
Around 90% of the interest bearing loans of the company are indexed. The average index-linked interest rate increased in 2024, concurrent with the rising interest rate in Iceland. About 21% of index-linked loans have variable interest rates. The average indexed interest rate of the company stands at 3.33%.

The company is at the forefront among domestic real estate companies when it comes to green financing and has set long-term goals regarding the share of its total financing being green financing. In 2024, the bond class HEIMAR50 GB was extended under the rubric of green financing.

**The total scope for green financing at the end of 2024 was about ISK 22bn."**

### Refinancing plan

Millions of ISK from 2025-2030



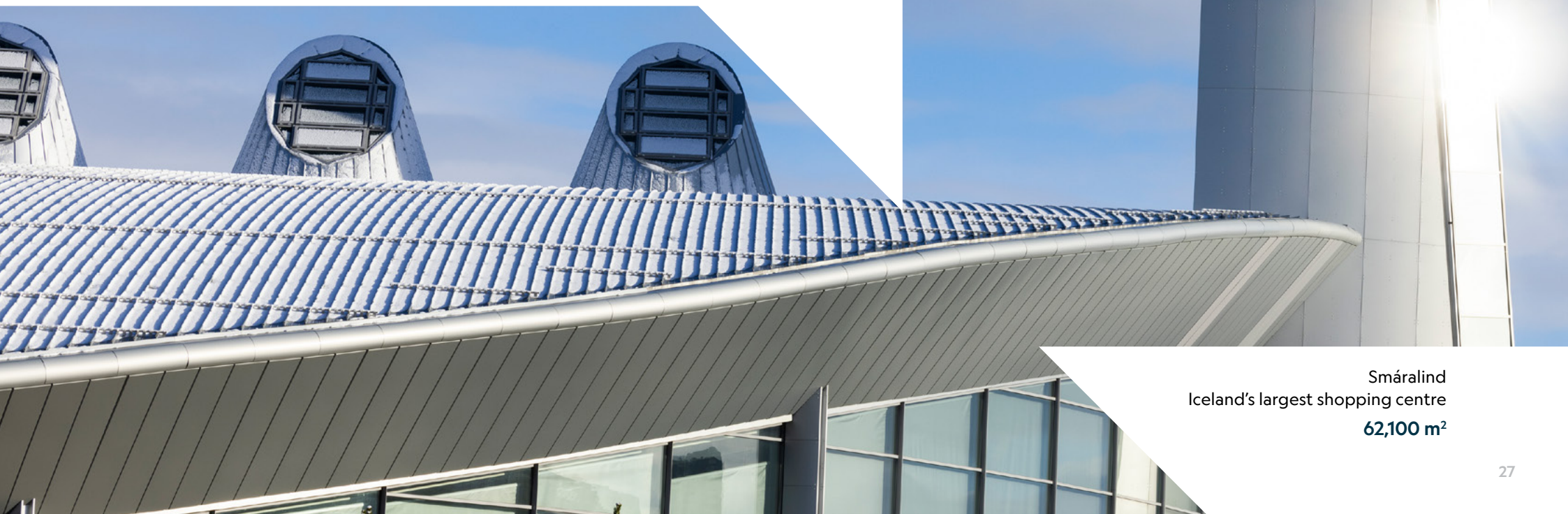




# Key Assets

## Ten key assets in our diverse portfolio

Four of the largest assets of the company amount to 41% of the total real estate portfolio.



Smáralind  
Iceland's largest shopping centre  
**62,100 m<sup>2</sup>**



Höfðatorg  
Offices

**37,900 m<sup>2</sup>**

**59%**

Aðrar eignir

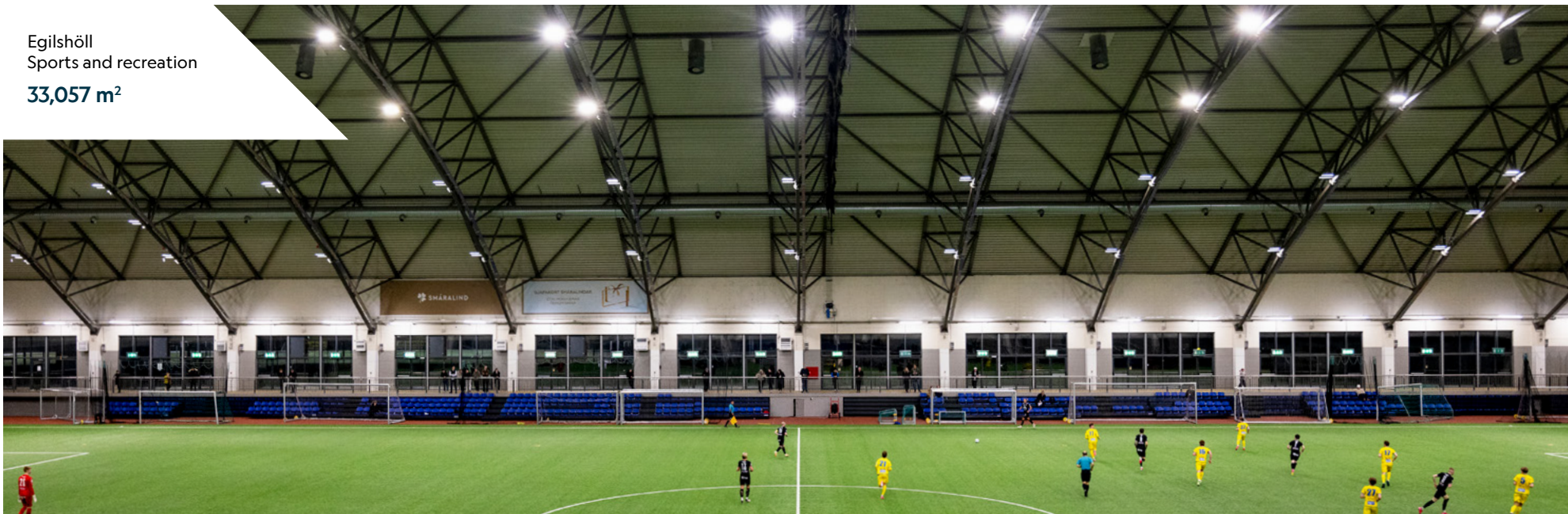
**41%**

Four largest properties





Egilshöll  
Sports and recreation  
**33,057 m<sup>2</sup>**



Hafnartorg  
Retail and services  
**11,354 m<sup>2</sup>**





Mjólnisholt 12-14  
Hotels and tourism  
**6,742 m<sup>2</sup>**



Ofanleiti 2  
Office premises  
**8,012 m<sup>2</sup>**

**35%**

Retail operations and services

**33%**

Office premises

**15%**

Health, education, and recreational housing

**12%**

Industrial housing  
and storage  
premises

**6%**

Hotels





Sóltún 2  
Nursing home  
**6,871 m<sup>2</sup>**



Vinlandsleið 1  
Retail operations and services  
**8,427 m<sup>2</sup>**

Suðurhraun 1  
Industrial and storage housing  
**7,193 m<sup>2</sup>**



Dvergshöfði 2  
Office housing  
**6,389 m<sup>2</sup>**





# This Year's Highlights

|                                         |                                                 |                                         |                                                                     |                                                                     |                                                                     |                                                                     |                                                             |
|-----------------------------------------|-------------------------------------------------|-----------------------------------------|---------------------------------------------------------------------|---------------------------------------------------------------------|---------------------------------------------------------------------|---------------------------------------------------------------------|-------------------------------------------------------------|
|                                         |                                                 |                                         |                                                                     |                                                                     |                                                                     |                                                                     |                                                             |
| 16 charging stations added to Smáralind | First premises opened up for use in Silfursmári | The recall of an optional offer for Eik | First phase of construction on the 3rd floor in Smáralind concludes | Declaration of Intent on the construction of a quality of life core | Declaration of Intent on the construction of a quality of life core | Declaration of Intent on the construction of a quality of life core | Gina Tricot opens for business in Smáralind                 |
|                                         |                                                 |                                         |                                                                     |                                                                     |                                                                     |                                                                     |                                                             |
|                                         |                                                 |                                         | Reginn becomes Heimar                                               | Eyþór the new director of finances                                  | 5 assets outside cores sold                                         | The community-project Orðheimar introduced                          | Private discussions regarding a possible purchase of Gróska |
|                                         |                                                 |                                         |                                                                     |                                                                     |                                                                     |                                                                     | A new restaurant area introduced in Smáralind               |
|                                         |                                                 |                                         |                                                                     |                                                                     |                                                                     |                                                                     | BREEAM®                                                     |
|                                         |                                                 |                                         |                                                                     |                                                                     |                                                                     |                                                                     | Borgartún 8-16 receives a BREEAM-recertification            |

## Projects and construction in 2024

|                                     |                                                                 |                                                  |                                       |                                                           |                                                              |                                                                       |  |
|-------------------------------------|-----------------------------------------------------------------|--------------------------------------------------|---------------------------------------|-----------------------------------------------------------|--------------------------------------------------------------|-----------------------------------------------------------------------|--|
|                                     |                                                                 |                                                  |                                       |                                                           |                                                              |                                                                       |  |
| HSN opens for business in Sunnuhlíð | Neighbourhood charging stations by Smáralind                    | Move into the new headquarters                   | A new organisational chart introduced | Construction begins on a new restaurant area in Smáralind | Jói útherji opens for business in Smáralind                  | Heimar nominated as the best brand in Iceland in the corporate market |  |
|                                     |                                                                 |                                                  |                                       |                                                           |                                                              |                                                                       |  |
|                                     | Next Level Gaming and Golfsvítan open for business in Egilshöll | Sjúkraþjálfunin opened for business in Sunnuhlíð | BREEAM®                               | Áslandsskóli receives the BREEAM-certification            | Declaration of Intent on the construction of new pre-schools |                                                                       |  |



# Construction

## Modern and progressive solutions for our customers

In 2024, Heimar invested more than ISK three billion in the portfolio with transformations, special adaptations, and solutions for customers.

The company has extensive knowledge and experience in the field of project management, construction, and real estate development. As in previous years, there was a lot of construction in Heimar's portfolio in 2024. The company's construction team is responsible for the company's construction and development projects.

### Projects completed during the year

Large projects were finalised during the year, among them Sunnuhlíð at Akureyri, where Heimar developed an older property and made it bigger. A fully operational health clinic was handed over to the Health Care Institution of North Iceland in the beginning of 2024 along with spaces for Sjúkraþjálfun Akureyrar (Physical Therapy of Akureyri..)

The year also saw the conclusion of the first phase of construction on the 3rd floor of Smáralind, where the new headquarters of Heimar were installed into a high quality office space. The project involved rethinking, designing and implementing 2000 m<sup>2</sup> of previously unused space from the 3300 m<sup>2</sup> available on the floor.

Recreation in Egilshöll was greatly enhanced when about 400 m<sup>2</sup> of new space was created by renovating an existing gymnasium. A spectacular esports centre of the highest quality was installed and Next Level Gaming opened their doors there in the middle of the year.







Furthermore, the company also received spectacular commercial premises in Silfursmára which has been fixed up and mostly rented out.

### Current projects

Glerárgata 26 – The municipal offices of the town of Akureyri

A rental agreement with the town of Akureyri was renewed for four floors which house the town's family and welfare services. About 2000 m<sup>2</sup> of office floors are being renovated with new air-conditioning, cooling, new floor-materials, ceiling-materials, and reorganisation to meet the modern demands of office premises. The project began in 2024, is currently fully underway and is projected to end in July of 2025.

A new and spectacular restaurant area in Smáralind

Close to the end of the year, construction began on a new restaurant area in Smáralind, placed at the existing restaurant area on the 2nd floor in the east end of the mall. The project involves an extensive renovation of technical systems, the reorganisation of the restaurant area and the back area, as well as expanding Smáralind to the east with a new entrance. The total construction area covers about 2800 m<sup>2</sup>, whereof 450 m<sup>2</sup> are allocated for 13-14 restaurants. Design was finalised in 2024, construction began at the end of the year, and the project is to be finalised in October of 2025.

Heimar will continue to develop its portfolio with strategic improvements and investments which contribute to modern and progressive solutions for clients.









# Portfolio Development

## Our biggest development projects

There are many opportunities when it comes to the development of the portfolio, and efforts are made strategically with a long-term view.

A clear policy forms the future vision, where the emphasis is placed on creating value for both the customer and society as a whole.

In addition to the development possibilities within the portfolio of Heimar, Heimar owns a third of the stock in real estate development company Klasi, which will develop and build tens of thousands of square metres of commercial premises which Heimar also has an option to buy in the coming years, as almost all of the properties are placed in the core areas of Heimar.

With well thought-out investments, fine design, and dynamic construction, it's ensured that the real estate portfolio supports the aims of the company – to form a lively part of town where commercial activity, services, and community blossom.

### Dvergshöfði 4 110 Reykjavík

Office premises

Size: 10,400 m<sup>2</sup>

Position: In the Design Process

Estimated length of project:  
2025 – 2027

Owner: Heimar



### Silfursmári 12 201 Kópavogur

Office premises

Size: 2,700 m<sup>2</sup>

Position: Under construction

Estimated length of project:  
2024 – 2025

Owner: Klasi

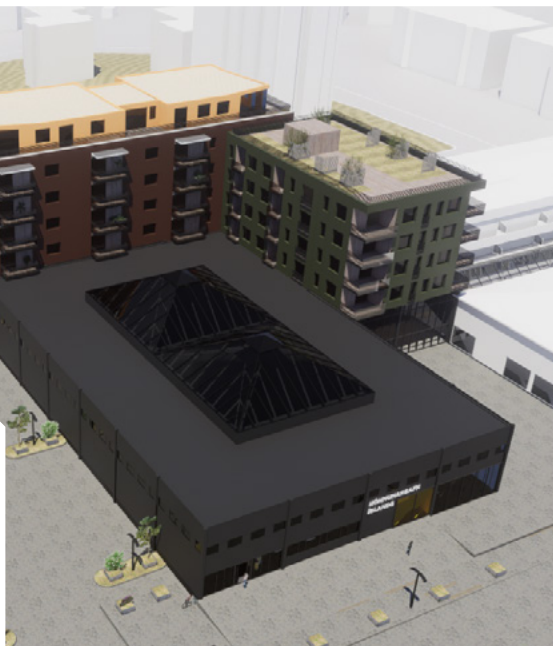
Stock options: Heimar





### Garðatorg 1 210 Garðabær

Annex with 55-65 apartments,  
services, and office premises  
Size: 8-10,000 m<sup>2</sup>  
Position: In the Planning Process  
Estimated length of project:  
2026-2028  
Owner: Heimar



### Eirhöfði 2 110 Reykjavík

120 rýma hjúkrunarheimili  
Stærð: 7.800 m<sup>2</sup>  
Staða: Í hönnunarferli  
Áætlaður verktími: 18-24 mán frá  
undirritun leigusamnings  
Eigandi: Klasi  
Kaupréttur: Heimar



### Sóltún 2 105 Reykjavík

Expanding  
a nursing home by  
by 67 spaces  
Size: 3500 m<sup>2</sup>  
Position: Main design finished  
Estimated length of project:  
18 months from the signature  
of the rental agreement  
Owner: Heimar



### Tjarnarvellir 9 221 Hafnarfjörður

85 space nursing home  
Size: 5000 m<sup>2</sup>  
Position: In the Design Process  
Estimated length of project:  
12-18 months from the signature  
of the rental agreement  
Owner: Klasi  
Stock options: Heimar





### Krossamýrartorg 110 Reykjavík

Service and office premises

Size: 30,000 m<sup>2</sup>

Position: In the Design Process

Estimated length of project:  
24-36 months from the signature  
of the rental agreement

Owner: Klasi

Stock options: Heimar



### Tjarnarvellir 5 221 Hafnarfjörður

Service and office premises

Size: 5,500 m<sup>2</sup>

Position: In the Design Process

Estimated length of project:  
18-24 months from the signature  
of the rental agreement

Owner: Klasi

Stock options: Heimar



### Garðahraun 1 210 Garðabær

Industrial and storage housing

Size: 12,000 m<sup>2</sup>

Position: In the Design Process

Estimated length of project:  
18-24 months from the signature  
of the rental agreement

Owner: Klasi

Stock options: Heimar



**Silfursmári 3 og 5  
201 Kópavogur**

Service and office premises

Size: 6,500 m<sup>2</sup>

Position: In the Planning Process

Owner: Klasi

Stock options: Heimar

**Mjódd  
109 Reykjavík**

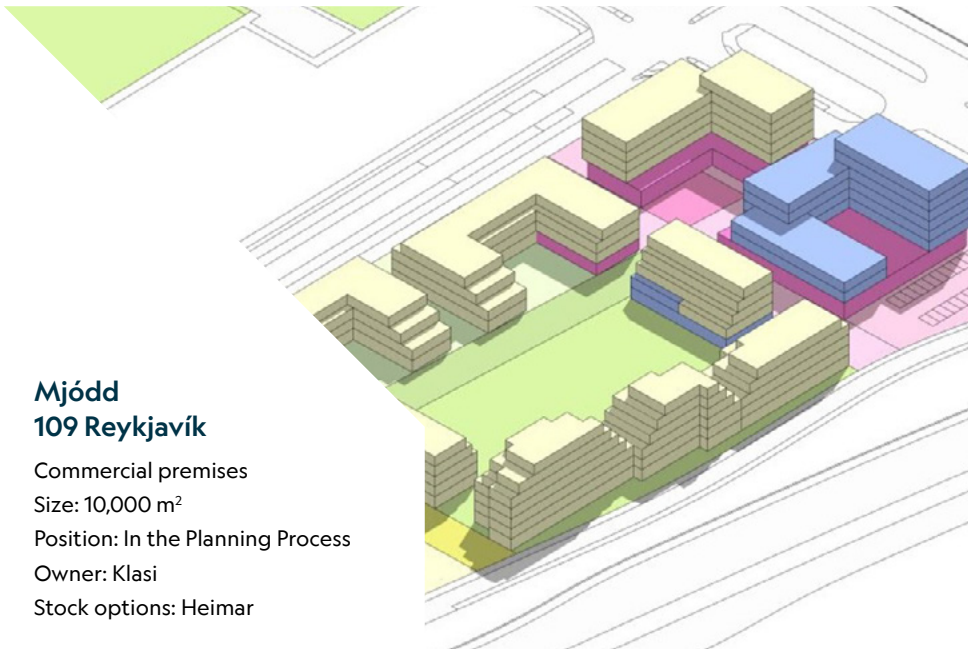
Commercial premises

Size: 10,000 m<sup>2</sup>

Position: In the Planning Process

Owner: Klasi

Stock options: Heimar

**Silfursmári 1  
201 Kópavogur**

Office premises

Size: 7,000 m<sup>2</sup>

Position: In the Planning Process

Owner: Klasi

Stock options: Heimar

**Lágmúli 2  
108 Reykjavík**

Office block

Size: 7,000 m<sup>2</sup>

Position: In the Planning Process

Owner: Klasi

Stock options: Heimar



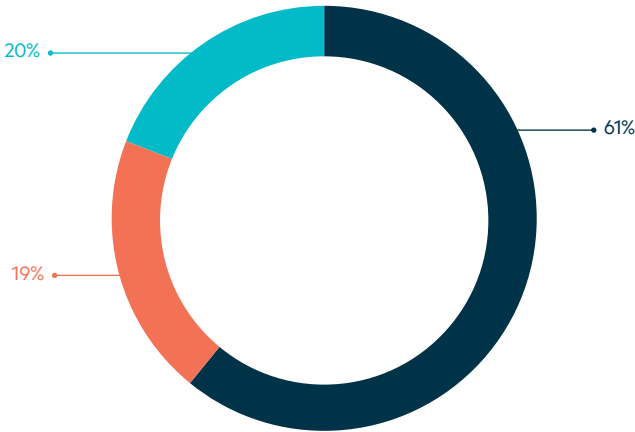


# Investors and Shareholders

## At year-end 2024, Heimar hf. had 799 shareholders

The turnover of shares in the company was high during the year, which reflects the growing interest of shareholders in the company. The number of shareholders grew by one fourth, from 638 at the end of 2023 to 799 by the end of the year 2024.

### Shareholding



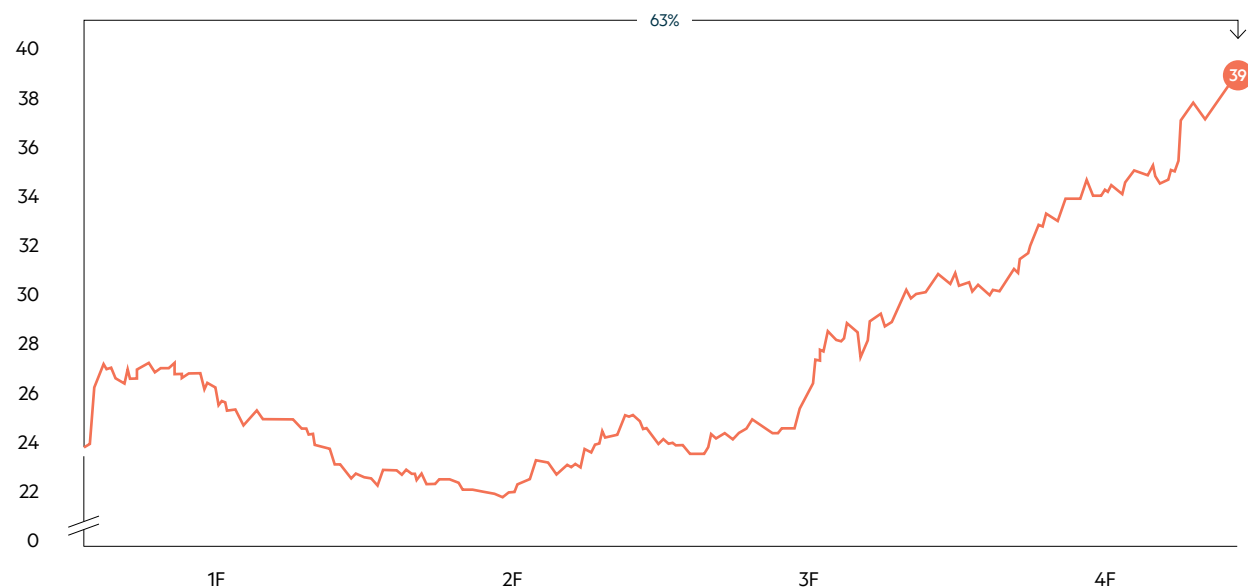
■ Pension funds ■ Private investors ■ Others

| No. | Name                                | Share       | %      |
|-----|-------------------------------------|-------------|--------|
| 1   | Brú lífeyrissjóður                  | 207,959,192 | 11.49% |
| 2   | Lífeyrissjóður starfsmanna ríkisins | 193,444,717 | 10.69% |
| 3   | Lífeyrissjóður verzlunarmanna       | 153,853,934 | 8.50%  |
| 4   | Gildi lífeyrissjóður                | 141,995,988 | 7.85%  |
| 5   | Birta lífeyrissjóður                | 139,143,246 | 7.69%  |
| 6   | Túnsteinn ehf.                      | 70,000,000  | 3.87%  |
| 7   | Sigla ehf.                          | 65,000,000  | 3.59%  |
| 8   | Frjálsi lífeyrissjóðurinn           | 52,298,684  | 2.89%  |
| 9   | Langisjór ehf.                      | 50,869,349  | 2.81%  |
| 10  | Stapi lífeyrissjóður                | 50,414,271  | 2.79%  |
| 11  | Festa - lífeyrissjóður              | 44,594,234  | 2.46%  |
| 12  | Lífswerk lífeyrissjóður             | 42,119,531  | 2.33%  |
| 13  | Söfnunarsjóður Lífeyrisréttinda     | 39,441,779  | 2.18%  |
| 14  | Stefnir hf.                         | 37,900,000  | 2.09%  |
| 15  | Arion banki hf.                     | 34,254,447  | 1.89%  |
| 16  | Kristinn ehf.                       | 33,000,000  | 1.82%  |
| 17  | FM eignir 1 ehf.                    | 25,771,241  | 1.42%  |
| 18  | FM eignir 2 ehf                     | 25,771,240  | 1.42%  |
| 19  | Almenni lífeyrissjóðurinn           | 25,257,728  | 1.40%  |
| 20  | Redwheel                            | 24,884,724  | 1.38%  |

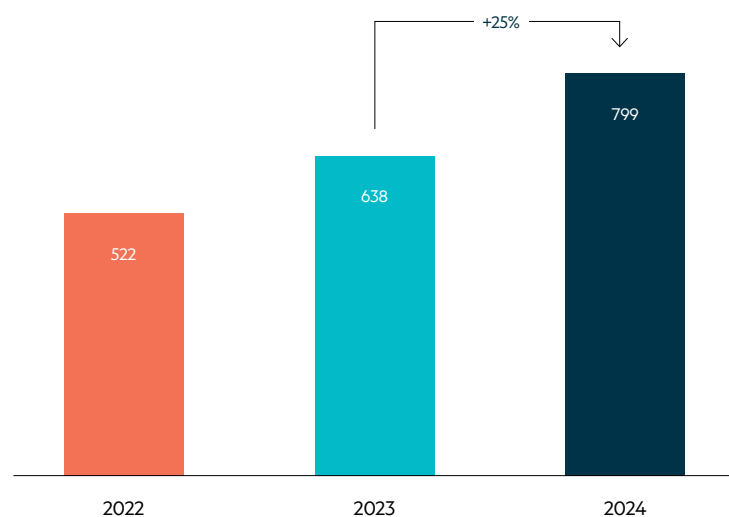




## Heimar stock price development



## Number of shareholders at year-end



*The stock price of Heimar rose by 63% during the year, which was the largest raise of all listed companies.*



# Green investment

## Framework implemented in 2020

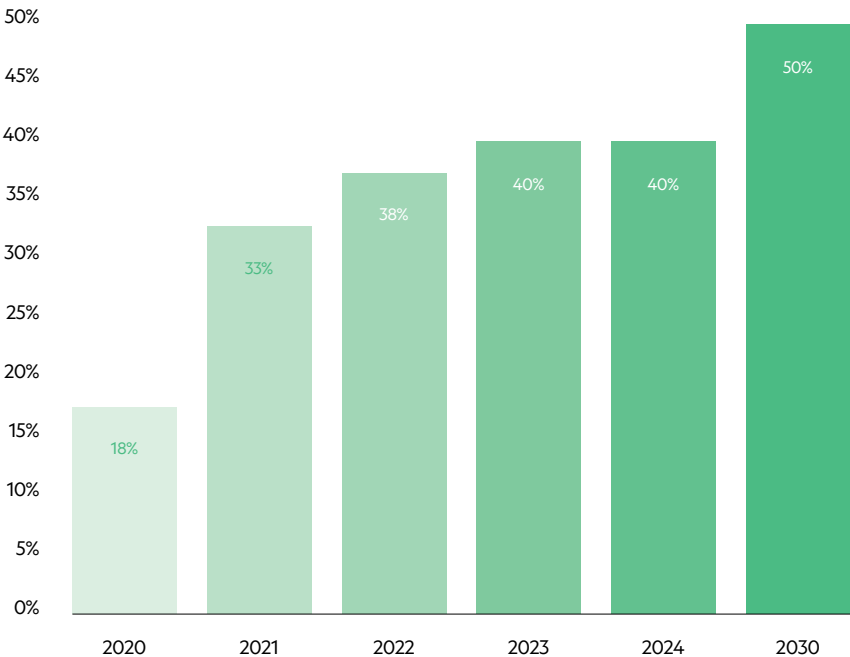
### Green Financing

In 2020, Heimar issued a framework for green financing and the company's first green bonds were listed on the market in the same year.

By the end of 2024, the ratio of green financing was 40% of the total financing of Heimar. Green financing plays a key role in the company's financing policy and all new loans during the year were taken through the green framework. The development of green financing from the beginning can be seen here.

Every six months, an impact report is issued regarding green financing and the assets which belong to it at each time. There is a detailed coverage of the financing and its composition, along with environmental key metrics.

Proportion of green financing



| Property       | Year of construction | Operation                                  | Size (m²) | Renewable energy % | Certification           | Electricity use (kWh/m²) | Carbon Footprint (kg/m²) | Water use (m³/m²) |
|----------------|----------------------|--------------------------------------------|-----------|--------------------|-------------------------|--------------------------|--------------------------|-------------------|
| Smáralind      | 2001                 | Retail operations and services             | 62,077    | 100%               | BREEAM In-Use Very Good | 381.85                   | 3.90                     | 5.67              |
| Katrínartún 2  | 2009                 | Office premises                            | 23,473    | 100%               | BREEAM In-Use Very Good | 419.12                   | 3.31                     | 10.06             |
| Borgartún 8-16 | 2007                 | Office premises                            | 14,074    | 100%               | BREEAM In-Use Very Good | 289.69                   | 2.29                     | 3.84              |
| Egilshöll      | 2003                 | Health, education and recreational housing | 37,305    | 100%               | BREEAM In-Use Very Good | 295.84                   | 2.31                     | 4.21              |
| Áslandsskóli   | 2001                 | Health, education and recreational housing | 6,162     | 100%               | BREEAM In-Use Very Good | 251.14                   | 1.95                     | 4.06              |





## Green Financial Framework

To facilitate the implementation of the company's sustainability aims, a "Green financial framework" has been issued until the year 2028. The framework defines the policy of Heimar in green investments for the next few years. During this period, the company will focus on projects such as the installation of electric charging stations and bicycle solutions, environmental certification of properties, improved energy efficiency, the mapping of the carbon footprint of the value chain and actions to reduce of carbon emissions.

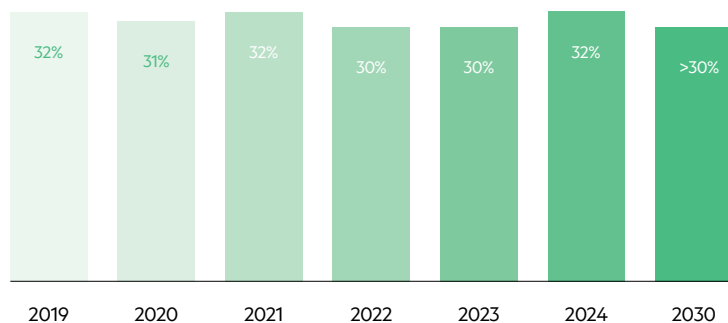


**ISK 649 million**

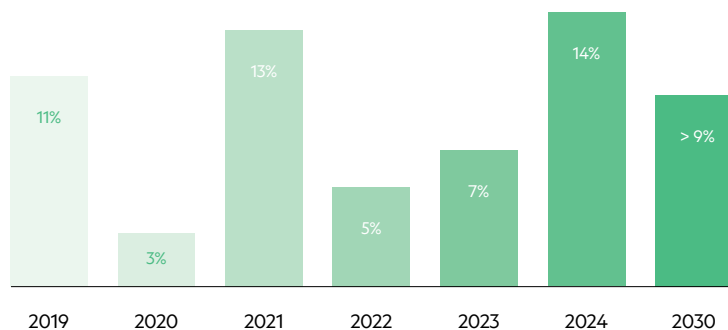
Estimated total investment  
2025-2028

## Goals and Achievements in Economic Sustainability

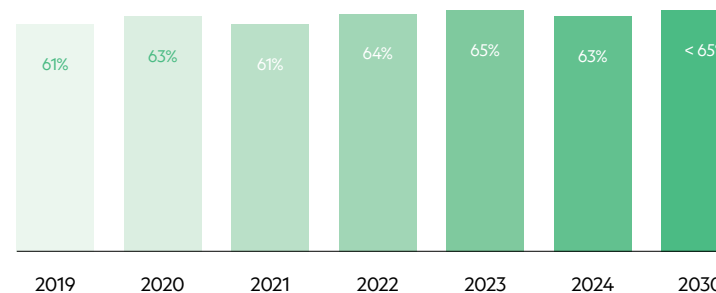
### Equity ratio



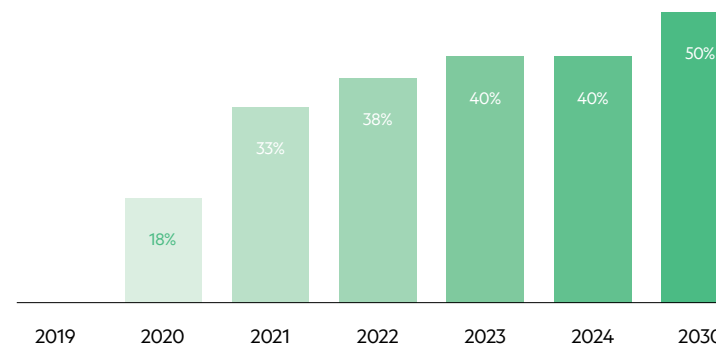
### Return on equity



### Leverage ratio



### Proportion of green financing





# The Workplace, the People, and the Culture

## Human Resources<sup>S1-1 - S1-9</sup>

The employees are the heart of Heimar's operations, and the key to the company's success.

Heimar work strategically towards creating a workplace where safety, equal opportunity, and career development are foremost. At year-end 2024, 76 people worked at the company and the number of employees has increased steadily concurrent with increased activity. The staff of Heimar handle diverse tasks and projects at five branches, and together they form a dynamic team of experts whose knowledge and experience is extensive.

### New headquarters

In 2024, Heimar opened its new headquarters at Hagasmári. Particular emphasis was placed on a high-quality working environment with good acoustics, air-quality, lighting, and fine materials. The office offers a diverse working space, including a concentration space, a relaxation space, and a community area, which underpin a flexible and efficient workplace culture.







### **Human Resources Readings**

Heimar focuses on nurturing a dynamic workplace culture with regular human resources readings. Every year there is a workplace assessment, in addition to one smaller analysis, where the focus is on, among other things, job satisfaction, well-being, team-work, and attitudes. The results are analysed and presented to the staff and management in order to analyse opportunities for improvement, maintaining strengths, and promoting good morale. Workplace analysis in 2024 demonstrated that job satisfaction and well-being at work have never scored higher. With a clear policy, dynamic human resources management, and regular measurements, it is ensured that the company remains leading in matters related to responsible human resources management. In addition, emphasis is placed on active communication between administrators and employees, which is based on feedback regarding their role and aims at each given time. Information sharing regarding matters related to the operation of Heimar is presented at regular staff meetings.

### **Career Development**

Heimar create an environment conducive to the career development of employees, of which learning culture is a large part. The company places great importance on employees having the opportunity to grow and prosper in their work and seek bigger responsibilities at work. Employees attended an average of 32 hours of continuing education, conferences, and lectures in 2024. 16 in-house educational meetings were held where the policies, priorities, and projects of the various departments were presented by colleagues, whereof 3 meetings were dedicated to sustainability.

### **New jobs during the year**

Heimar is an expanded company, which is evident from the fact that several new jobs were created in the year 2024. Mainly, these were new managerial positions which enhance oversight over particular issue categories. The year also saw a hiring for the job of the head of information technology, human resources manager, and business development expert. Also, the decision was made to focus more on service matters by hiring a service director.









### **Health-promotion, well-being and flexibility**

The company is interested in the health and well-being of staff, health, and transportation grants are on offer, as well as healthy snacks in the company's canteens. Heimar emphasises a flexible work environment to enable employees to balance work and family responsibilities, for the benefit of the company and better quality of life for employees.

### **Equal pay**

Since 2021, Heimar has made annual surveys of the company's equal pay system through equal pay certification and maintenance certifications to ensure follow-through and equal pay. In a wage analysis carried out in 2024, it was found that the wage gap at the company is 1.4%. Furthermore, Heimar has set a goal to level out the gender ratio within the operation.

### **Working environment**

Heimar places great importance on a safe and healthy working environment. The working environment is free from bullying, sexual and/or gendered harassment, and violence, and there are clear procedures in place to deal with such matters. The company has implemented a work protection system which is conducive to a safe working environment and which involves regular education, safety surveys, and strategic efforts to reduce the risk of accidents. Work accident frequency has decreased significantly in recent years, from 3.3% in 2019 to 1.3% in 2024, which reflects successful safety measures.

### **Policies**

Within Heimar, great importance is placed on ensuring and protecting the rights of employees with regard to human rights and equality, and laws, regulations, and collective agreements are always abided by. Additionally, the human resources policy and equality policy of Heimar is followed, which also includes the subsidiaries of the company. There it is stated that the company seeks to provide all employees with an equal footing, irrespective of gender, age, race, ethnic background, religion, philosophy of life, disability, sexuality, sexual identity, sexual characteristics, sexual expression, or other factors. This applies in the case of equal pay, equal access to jobs, career development, or the coordination of work and one's private life. Strategic efforts are made to enhance diversity and equality within the company, with policy formation as well as consciousness raising in daily operations.

### **Contractors and consultants**

In addition to employees, Heimar utilise the services of contractors and consultants in various projects. To date, there has not been an organised list of the number of individuals working for the company other than full employees, but work is underway to better register those workers.

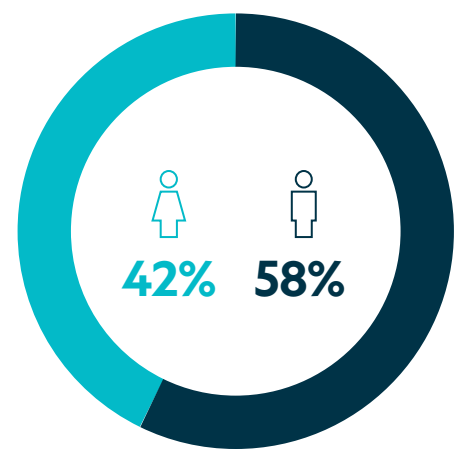


# Social sustainability<sup>S1</sup>

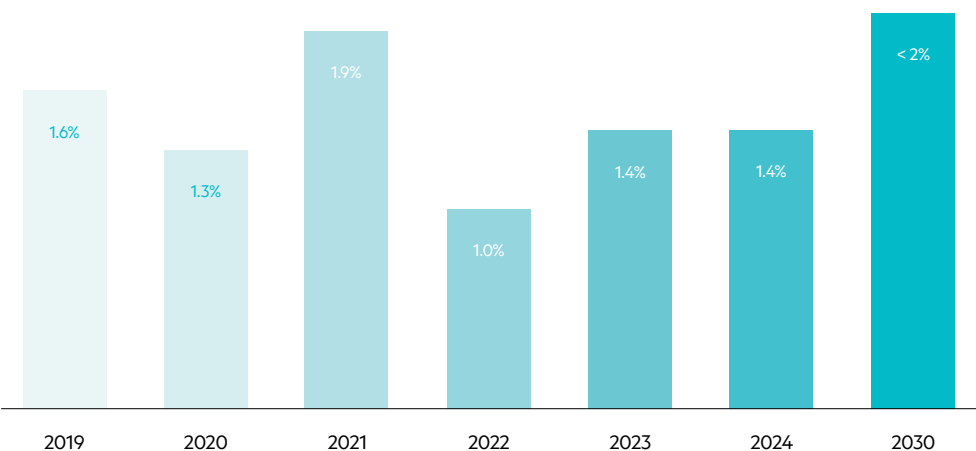
Objectives, Achievements and Long-Term Goals  
in Social Sustainability



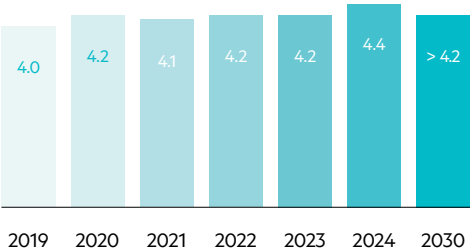
## Gender division of employees



## Equal pay analysis

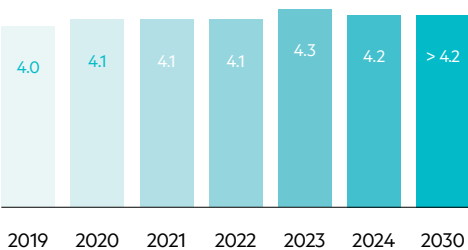


## Job satisfaction



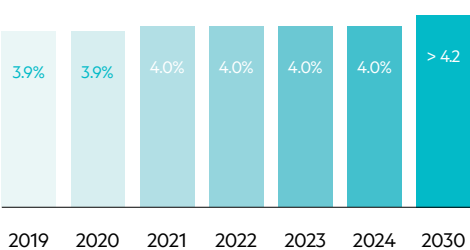
On the scale of 1-5 where 1 point represents **very dissatisfied** and 5 points represent **very satisfied**.

## Can staff handle the workload?



On a scale of 1-5 where 1 point represents **very badly** and 5 points represent **very well**.

## Reconciliation of work and family life



On a scale of 1-5 where 1 point represents **strongly disagree** and 5 points represent **strongly agree**.





# Corporate Governance

## The importance of encouraging good corporate governance <sup>GOV-1</sup>

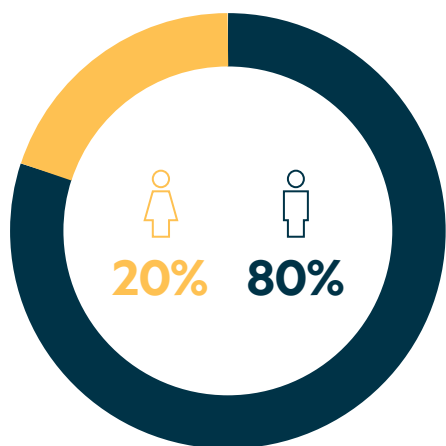
The Board sees good governance as an important controller to clarify the role of the Board and the CEO and ensure that the interests of the shareholders are always kept in mind.

Compliance with good governance promotes transparency and reliable communication between shareholders, the Board, management, employees, and other stakeholders.

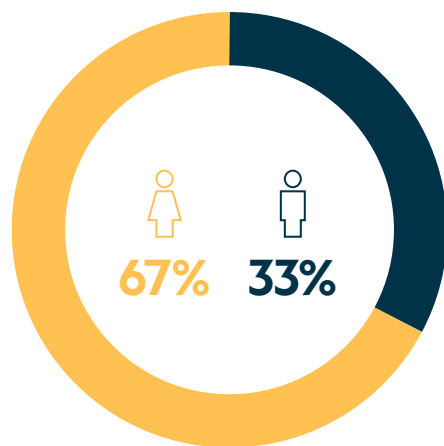
The aim of the Board and management is to maintain and enhance exemplary governance within the company.

- The company received an award from Stjórnvísir for good governance in 2024.
- The company has also been recognised as an Outstanding Company according to Creditinfo's analysis consecutively since 2014 and has been at the forefront there.

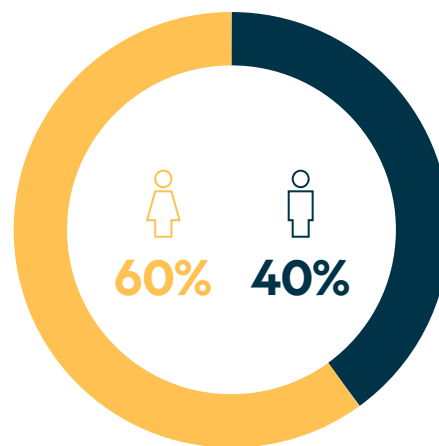
### Gender Division



Executive Committee

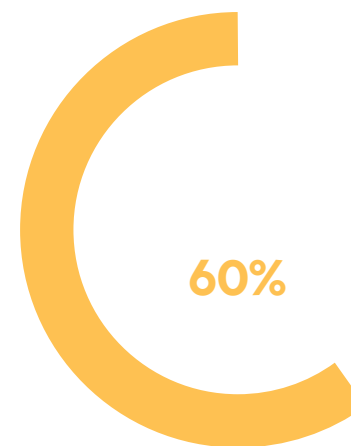


Board Committees



The Board of Directors

### Independent Board Members



## The Board of Directors



**Tómas Kristjánsson**

Chairman of the Board since  
March 2017  
Board member since April 2014



**Bryndís Hrafnkelsdóttir**

Vice Chairman of the Board since  
March 2022  
Board member since April 2014



**Benedikt Olgeirsson**

Board member since March 2022



**Guðrún Tinna Ólafsdóttir**

Board member since March 2018



**Heiðrún Emilía Jónsdóttir**

Board member since March 2019

## Board Committees

At the end of 2024, the following were members of the Audit Committee of Heimar:

- Anna Þórðardóttir, chairman – *nominated at the annual general meeting in 2024*
- Benedikt Olgeirsson
- Heiðrún Emilía Jónsdóttir

At the end of 2024, the following were members of the Pay Conditions Committee:

- Guðrún Tinna Ólafsdóttir, Chairman
- Bryndís Hrafnkelsdóttir
- Tómas Kristjánsson

## Nomination Committee

At the end of 2024, the following were members of the Nominating Committee of Heimar:

- Guðfinna S. Bjarnadóttir, Chairman
- Árni Gunnarsson
- Ína Björk Hannesardóttir





## Executive Committee



**Halldór Benjamín Þorbergsson**  
CEO



**Baldur Már Helgason**  
Executive business manager



**Björn Eyþór Benediktsson**  
Chief Financial Officer



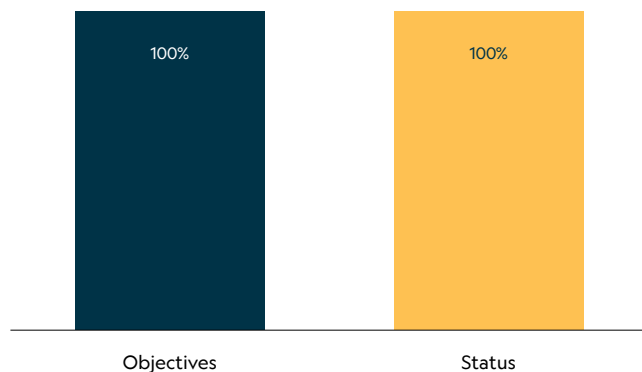
**Dagbjört Erla Einarsdóttir**  
Managing Director of Internal  
Operations and Chief Legal Officer



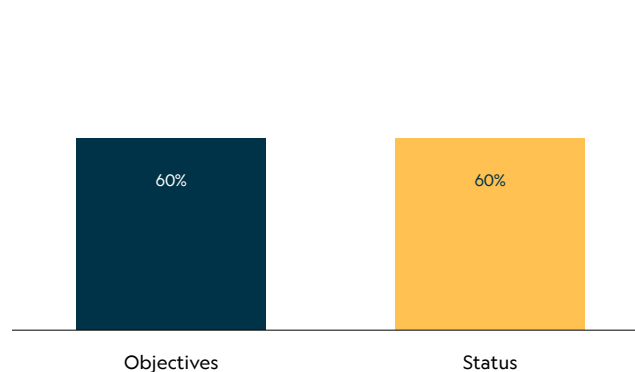
**Páll Viggó Bjarnason**  
Managing Director of Investments

## Goals and Achievements in Governance

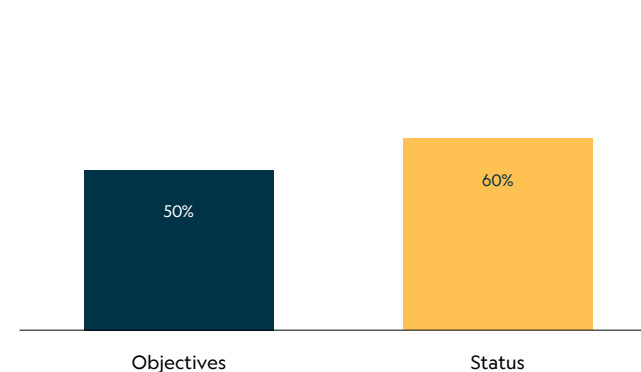
**Staff are to formally confirm that they will comply with the ethical code regarding corruption and bribery**



**The majority of board members are to be independent**



**Gender Ratio on the Board of Directors is to be as equal as possible**





## Company culture <sup>G1-1</sup>

### Business practices and company culture.

Heimar emphasises measuring and maintaining a positive company culture with an annual job satisfaction survey, which has always yielded positive results. The regular review of policies and procedures ensures that company culture is in accordance with legal requirements and best practices.

The company has set for itself clear procedures and a code of ethics, which the Board approved on 28 August 2024 and which are available on the website of Heimar. Employees are presented with the rules as they are hired and they sign their confirmation thereof. The rules state that employees are to conduct themselves with professionalism and honesty, and that respect, fairness, courtesy, and honour are always to be the hallmarks of communication with customers, co-workers, and other stakeholders. Violations of the code of ethics can lead to consequences, from a reprimand to a suspension or dismissal and Heimar has also implemented procedures for violations of procedures and the code of ethics.

To ensure a responsible operation, the company has implemented both risk assessments and procedures regarding the execution of due diligence and the identification of lessees, in accordance with Act no. 140/2018 on Measures Against Money Laundering and Terrorist Financing. Since 2022, Heimar has had a policy in place for measures against money laundering and terrorist financing, which is reviewed annually and finally confirmed by the executive committee on 10 December 2024. Due diligence surveys are conducted on all clients before long-term agreements are made.

Heimar has also implemented rules regarding the protection of whistle-blowers, which are accessible on the company's website. The rules were last reviewed and confirmed on September 17 2024. Their aim is to contribute to reports on violations against the law or other objectionable behaviour, thereby reducing such behaviour within the operation. According to the rules, within a month from the issuance of a report the parties in question are to be notified as to whether the report has led to steps taken and what those steps have been. This only applies, however, in the case of a report under one's own name. The rules have been presented to all employees and are accessible on the internal website of the company and its public website.







## Supplier relationships <sup>G1-2</sup>

Focus on responsible and fair business practices in all dealings with suppliers and business partners.

The company seeks to ensure a clear and transparent policy which is conducive to sustainability, morality, and responsible business relationships.

Heimar require that their suppliers comply with ethical and sustainable standards in their operation. This involves requiring that human rights, fair working conditions, and responsibility in environmental matters be respected. The company conducts a risk assessment of suppliers to ensure that they fulfil minimal requirements for social responsibility and sustainable operations.

To ensure dynamic management of the supply chain, long-term relationships with suppliers who share the company's values regarding sustainability are preferred. Heimar also focus on contributing to transparency and good governance in all business relationships.

### Social and environmental standards for selecting suppliers

As suppliers and business relationships are selected, the focus is on clear standards related to social and environmental factors. Heimar require suppliers to meet requirements regarding human rights, work protection, and equality within their operation. Also, it is required that they be environmentally responsible, among other things by limiting greenhouse gas emissions and supporting the circular economy.

The company encourages its suppliers to steadily improve in the field of sustainability and provides them with guidance as to how they can increase responsibility in their operation. In this manner, Heimar contribute to the creation of a powerful and efficient supply chain which is conducive to the aims of the company regarding social responsibility and sustainability.

### Communications with suppliers

In communications with suppliers, the company emphasises the responsible management of the supply chain and assessment of risks which may be related thereto, including possible effects on sustainability. A particular focus is set on reducing risk related to disruptions within the supply chain and ensuring that suppliers comply with the law and the standards of the company. Requirements have been added to the standard form of rental agreements, contracts and service agreements where contractors are required to work on social and chain responsibility, for example by ensuring that their activities do not violate general human rights, and ensuring rights in the labour market and proper facilities in the workplace, as well as showing responsible behaviour in environmental issues. At Heimar, a supplier policy is in force, which was approved by the executive committee on 27 January 2025 which pertains to all larger and/or ongoing suppliers for the company and is attached to contracts. The policy is meant to paint a clear picture of what Heimar requires from the suppliers from whom the company purchases services and/or products, regarding social factors, environmental issues, and governance.

## Corruption and bribery <sup>G1-3 | G1-4</sup>

### Preventative measures and discovery <sup>G1-3</sup>

Heimar has put in place a policy and the appropriate procedure to prevent, analyse, and respond to accusations or events related to corruption or bribery. Heimar has risk assessment and procedures in force for carrying out due diligence and identification of the company's lessees, cf. Act No. 140/2018 on Measures Against Money Laundering and Corporate Financing. The policy of Heimar hf. and its subsidiaries on Measures Against Money Laundering and Terrorist Financing was confirmed by the Board on 10 December 2024. Due diligence surveys are conducted on all clients of Heimar before long-term contractual relationships are initiated. Lessees, contractors, and suppliers are informed of the company's stance regarding corruption and bribery, information regarding which is available in the company's standard forms for rental agreements, contracts, and service agreements. Should a contractual party be found guilty of illegitimately employing child labour or forced labour, of any kind of corruption or bribery or other illegal activities, the company reserves the right to end the business relationship in question.

In the policy of the company and its subsidiaries regarding measures against money laundering and terrorist financing, it's stated that the company is obligated to know its clients and their operation, test the reliability of information regarding the client, and notify the competent authorities, should suspicions of unlawful behaviour arise. Should there be suspicion of unlawful activity, the attorneys of Heimar will notify the office of financial analysis with the police through the AML system if there is a suspicion of money-laundering or the suspicious financing of companies.

All rental agreements, contracts and service agreements made by the company contain clauses which state that Heimar is subject to a duty to report in accordance with Act no. 140/2018 on measures against money-laundering and that it's obligated to acquire sufficient information on the real owners and origins of finances, based on the nature and extent of the business. By signing the agreement, the contracting party confirms that the revenue from their operation and its financing do not violate the aforementioned law or other laws and regulations which have been set on the same basis. The company also conducts a due diligence survey before initiating a business relationship with the contracting party in question. The company also regularly monitors contracting parties and notifies the competent authorities if there is suspicion of unlawful operations.

All employees of Heimar receive an annual presentation from the legal division regarding the company's measures against money laundering. Also, the staff of the legal department annually receives refresher courses in the area, for instance with Endurmenntun or LMFÍ.

### Incident <sup>G1-4</sup>

Heimar has implemented action plans to prevent, analyse, and reduce risk related to corruption and bribery. These actions involve enhancing specialised knowledge with the company's legal team, sharpening the internal procedure at the beginning of a contractual relationship to be familiar with a client, and maintaining regular monitoring of the contractual relationship. Neither Heimar nor the managers of the company have violated laws or regulations in this area.







## Value chain



Financing



Suppliers



Contractors

Input



General operations  
of Heimar

Own operations



Public entities



Interest groups



Customers

Downstream

# Policy

## Business model <sup>SBM-1</sup>

Heimar specialises in owning, managing, and developing commercial premises, including retail stores, service housing, and office premises which contributes to sustainability and social responsibility.

The portfolio of the company covers properties in the greater Reykjavík area and key areas in the rest of the country and the company services a diverse group of clients, among them public entities, retail stores, restaurants, and service businesses.

The value chain covers financing, suppliers, and contractors, first and foremost with the purchase of products and services. Public entities, clients, and other stakeholders are also an important link in the company's value chain as tenants, guests, and various kinds of partners.

Heimar focuses on green leases, sharing of sustainability information and flexible rental terms to contribute to its clients' long-term development. At Heimar, 76 people work at five branches in the greater Reykjavik area. The staff contributes to the sustainability path of the company, where there is an emphasis on the balance between innovation, operational

clarity, and environmental responsibility.

Sustainability is one of the pillars of the business model of Heimar, where operational decisions are, among other things, geared towards limiting environmental impacts, strengthening social responsibility, and ensuring profitable growth. Sustainable goals are coordinated in the developmental projects and investment decisions of the company. The total income of Heimar in 2024 amounted to just under ISK 15 billion and it has been outlined further in the section on the company's income ([link](#))

Heimar monitor the effects of sustainable energy infrastructure, green financing methods and digital technology on its business model. Innovation in green solutions has contributed to the development of competitive and environmentally friendly properties.

Heimar has set ambitious sustainability goals for carbon neutrality, energy utilisation and improved waste management. The company directly links its aims to product categories and markets, e.g. with green leases and energy efficient properties.

In collaboration with beneficiaries, the company has analysed the impact of product categories and services on sustainability goals, which has led to strategic actions, e.g. setting up charging stations and more green information sharing.

Heimar is working on implementing an upcoming ESRS regulation into its information sharing and the coordination of policies with the UN Sustainable Development Goals, with an emphasis on sustainable investment and responsible operation modes.

More Policy



# Stakeholders

## Interests and views <sup>SBM-2</sup>

Heimar's operations have an extensive effect on stakeholders throughout the company's entire value chain and considers all SBM-2 factors.

Stakeholders were mapped with relation to a double materiality assessment and communication is organised at formal meetings, service surveys, and collaborative projects.

The results of communication with stakeholders are analysed and have led to changes, such as the implementation of green rental agreements and additional information sharing regarding the carbon footprint. Heimar ensure that the views of stakeholders are related to the policy of the company by coordinating sustainability goals with the expectations of invested parties.

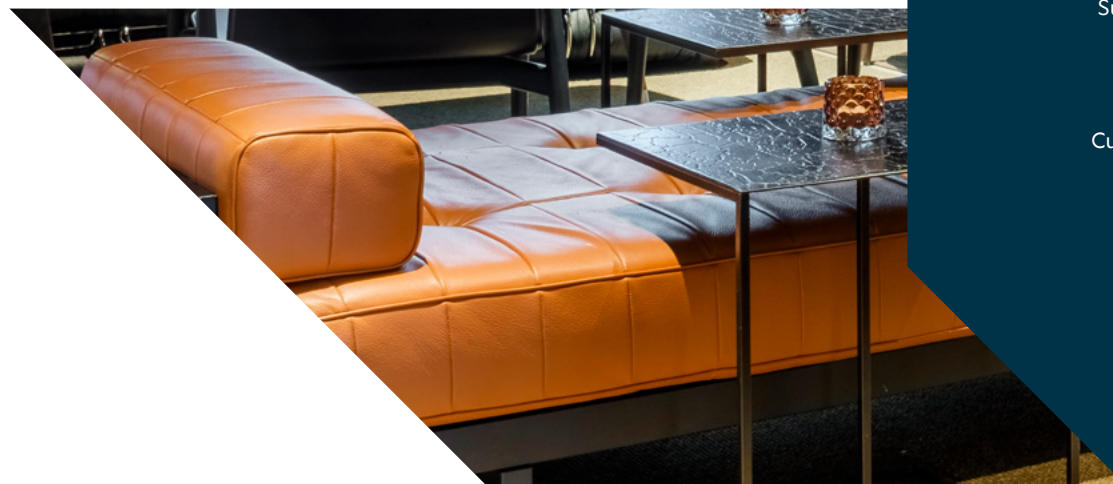
Managers are given insight into the views of stakeholders through the results of surveys, board meetings, and sustainability reports. These processes ensure that all voices of stakeholders effect policy formation and the sustainability path of the company.

Heimar's operations have an extensive effect on stakeholders throughout the company's entire value chain, who were defined with relation to a double materiality assessment. Communication with stakeholders is diverse and involves regular meetings with lessees, investors, and municipal authorities, as well as service surveys and collaborative projects with suppliers and contractors.

Stakeholders are categorised into internal and external groups; internal invested parties are employees, managers, and owners, while external invested parties are lessees, investors, suppliers, municipal authorities, the government, and society. This classification makes it easier for Heimar to analyse which issues matter most to stakeholders and how the communication underpins the company's operation and sustainability goals.

Communication with stakeholders are important so that their needs may be understood, trust may be built, and it may be ensured that the company's operation is in accordance with societal expectations and the requirements of the government. The reactions of stakeholders have effected the policy of Heimar, including the implementation of green rental agreements, the installation of smart trash systems, and improved reporting regarding the carbon footprint.

Managers are regularly given insight into the views of invested parties through the results of service surveys, sustainability reports, and board meetings, where the main challenges and successes in communication with invested parties are presented. Thus, Heimar ensures that the points of emphasis of stakeholders are a part of the company's policy formation and that sustainability goals are based on their real needs.



## Stakeholders

Internal stakeholders



Financing



Staff

External stakeholders



Public entities



Interest groups



Suppliers



Customers





## UN Sustainable Development Goals

Heimar annually sets measurable goals to measure sustainability successes in a precise manner. The main stakeholders, including investors, staff, and customers, are informed of the status of the goals at regular settlement presentations and in the company's Annual Financial Statements and Sustainability Report. The information is also made available on Heimar's website.

The company weaves the United Nations' Sustainable Development Goals into its own operation. A special emphasis is placed on the goals most effected by everyday operations.

Heimar has prioritised seven sustainable development goals



Good health  
and well-being



Gender  
equality



Sustainable  
Energy



Decent work and  
economic growth



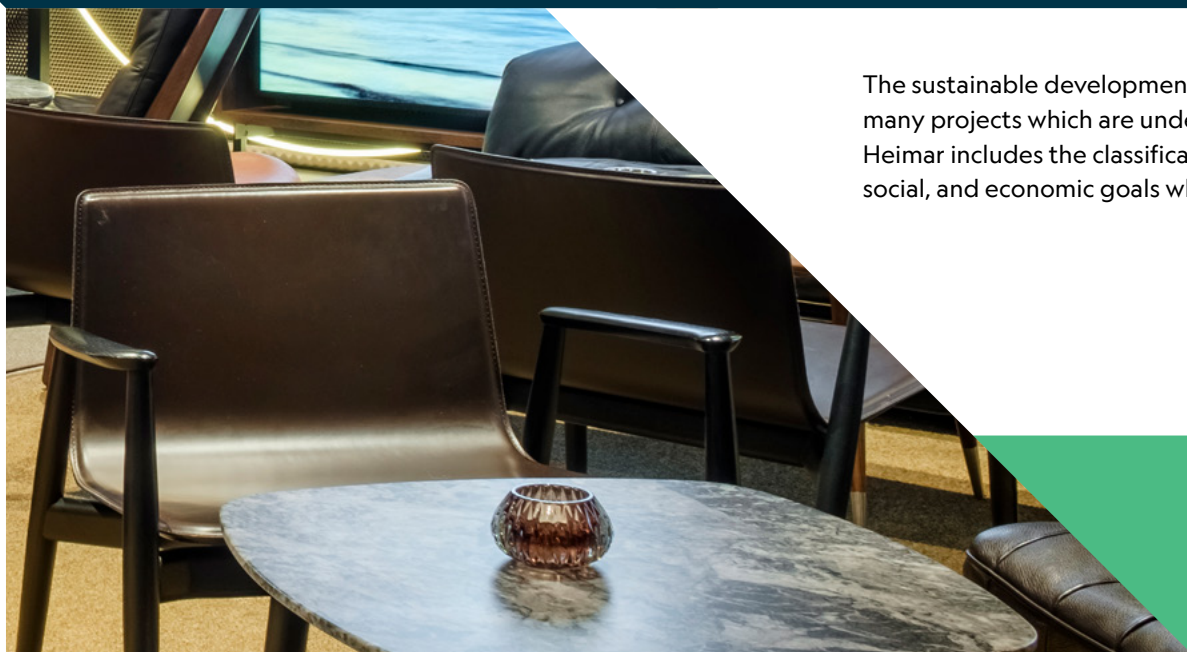
Sustainable cities and  
communities



Responsible  
consumption  
and production



Actions  
in climate issues



The sustainable development goals and their sub-objectives are diverse and reflect many projects which are underway within the company. The sustainability policy of Heimar includes the classification of the goals into three categories: environmental, social, and economic goals which reflect the company's holistic sustainability approach.



# Double Materiality Assessment

The most important factors within the company's operation IRO-1 | IRO-2

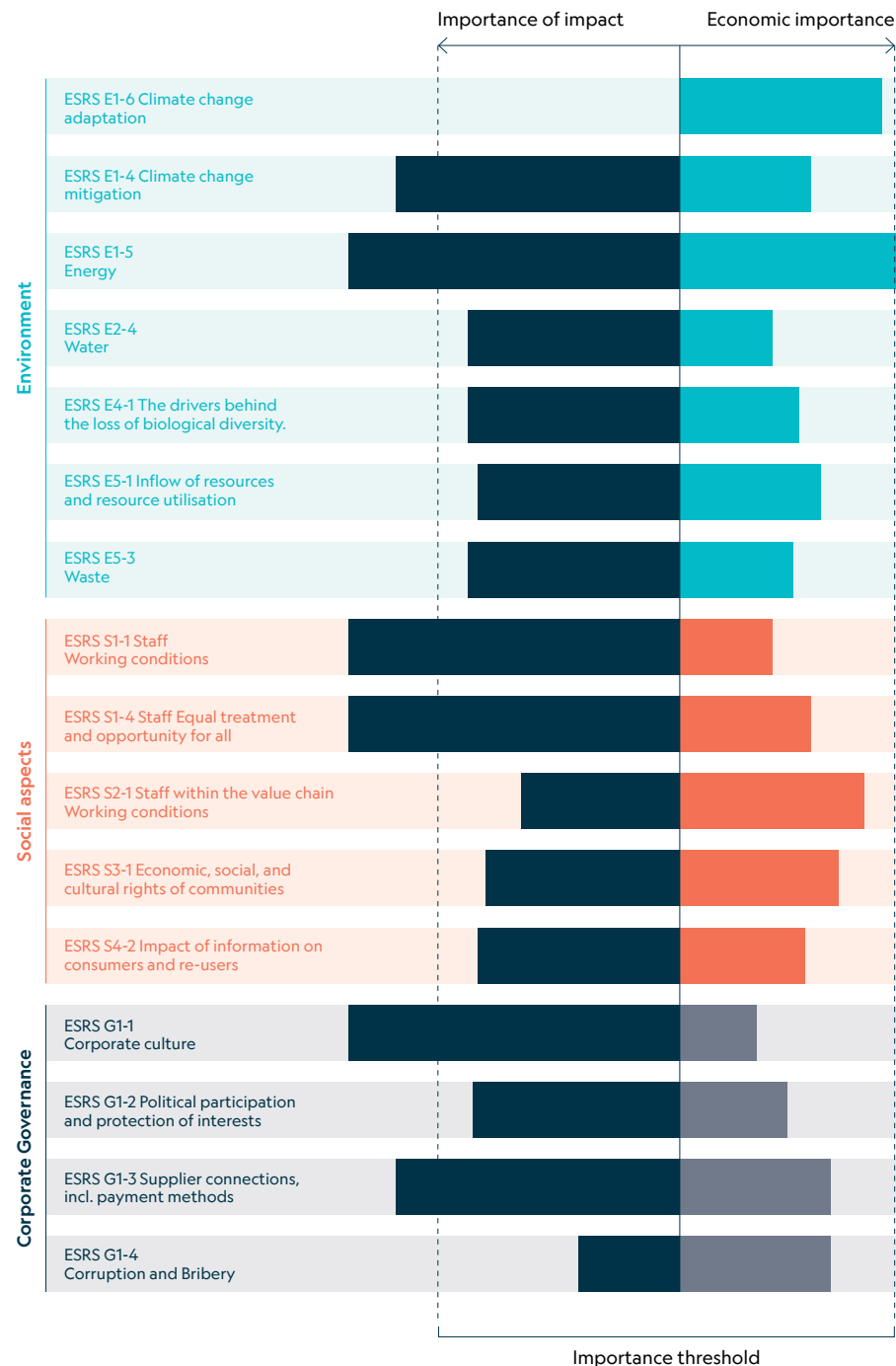
## Effects

The first steps of Heimar towards the ESRS standard were taken with a double materiality assessment in 2023. The assessment involved an estimation of the most important factors of the company's operation, both in terms of impact and financial importance, and was conducted with both internal and external stakeholders. The materiality assessment was reviewed in 2024, taking into account new information and additional knowledge of the issue category. Its conclusions now inform the path forward in the prioritisation of sustainability projects within the company, as well as in following the ESRS standard.

According to this analysis, 16 sub-objectives of the ESRS standard are important for the company. Heimar has chosen to outline the six topics which the assessment found to be the most important.

|                                |                                             |
|--------------------------------|---------------------------------------------|
| E1-4: Mildun loftlagsbreytinga | S1-4: Jöfn meðferð og tækifæri fyrir alla   |
| E1-5: Orka                     | G1-1: Fyrirtækjamenning                     |
| S1-1: Vinnuskilyrði            | G1-2: Birgjatengsl, þ.m.t. greiðsluáðferðir |

To better fulfil the IRO requirements of ESRS in 2025, Heimar will seek to relate the assessment to risks with regard to financial matters and policy formation, financial performance, and business-related impacts, as well as presenting aims and measures in figures.



## IRO-1 | IRO-2

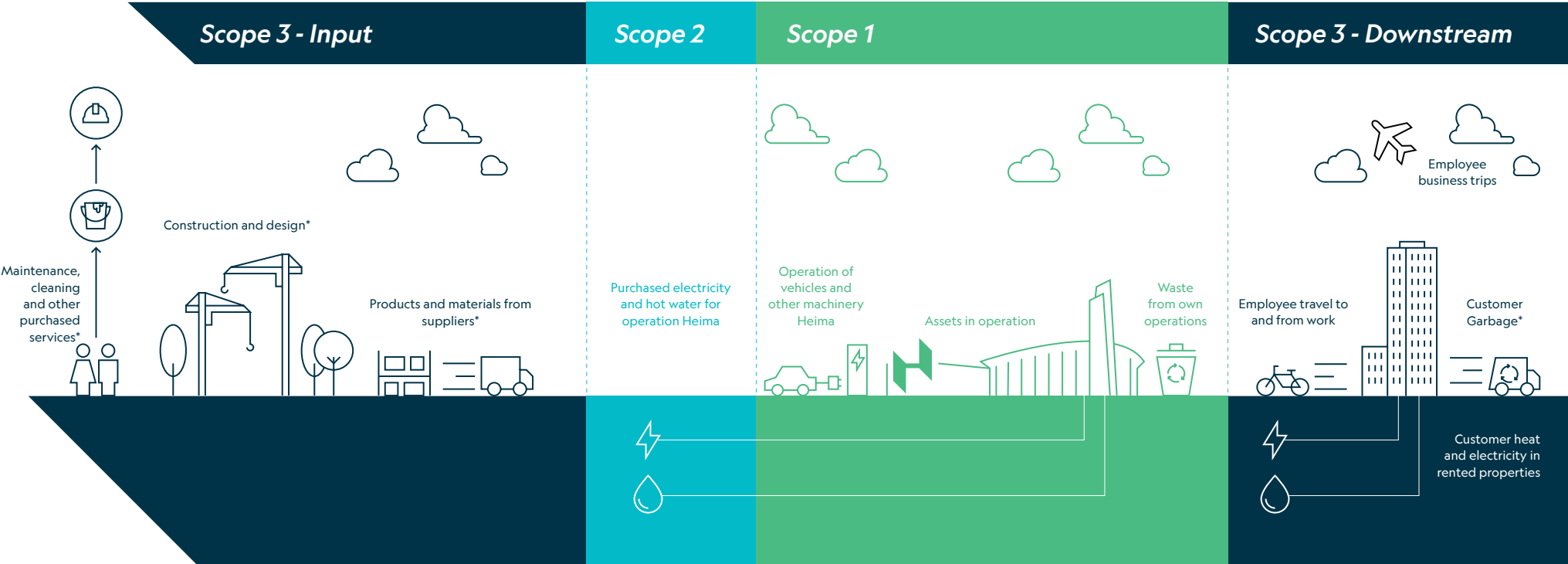
| Selected sustainability factors              | Effects                                                                                                                                                                                                                                                                                                                      | Risk                                                                                                                                                                                                                                                                   | Opportunities                                                                                                                                                                                                                                                                                                       |
|----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| E1-4: Climate change mitigation              | Heimar can reduce its carbon footprint by better energy efficiency and the green construction of properties.                                                                                                                                                                                                                 | If Heimar fails to reduce its carbon footprint, the company may find itself faced with reduced financial possibilities and a loss of clients who seek sustainable solutions.                                                                                           | A reduced carbon footprint enhances the image of Heimar, gives better access to financing, enhances reputation, reduces operational costs, and creates a competitive advantage.                                                                                                                                     |
| E1-5 Energy                                  | Heimar is dependent on energy for the management of the company's properties. The manner in which energy is purchased and how it is utilised by Heimar can effect the operation of properties, how closely regulations are adhered to, as well as the views of customers, investors, and perhaps others towards the company. | A lack of energy efficiency and the use of non-renewable energy within the company's properties can have a negative impact on the views of clients and investors. This also negatively effects the operational efficiency and regulatory compliance of the properties. | Increased energy efficiency enhances the management of the company's properties, creates value for the company and its clients, and increases compliance with regulations. The use of renewable energy facilitates the energy transition of both the company and its clients from fossil fuels to renewable energy. |
| S1-1 Working conditions                      | It is important to ensure the safety and well-being of staff and clients within the company's properties, wherever appropriate.                                                                                                                                                                                              | Bad working conditions can lead to less job satisfaction, higher employee turnover, and a diminished reputation.                                                                                                                                                       | Better working conditions increase job satisfaction, decrease staff turnover, increase productivity, and strengthen the reputation of Heimar as a responsible employer.                                                                                                                                             |
| S1-4 Equal treatment and opportunity for all | The company is socially responsible to ensure diversity and equality within its operation.                                                                                                                                                                                                                                   | A lack of diversity and equality can result in reputation risk, diminish job satisfaction, lead to increased employee turnover, and reduce the interest of talented people in the company.                                                                             | A diverse and just workplace culture attracts talented employees, enhances competitive standing, and has a positive effect on morale.                                                                                                                                                                               |
| G1-1: Corporate culture                      | A strong corporate culture underpins long-term success and the trust of clients.                                                                                                                                                                                                                                             | Bad governance and unclear values can damage reputation and diminish job satisfaction.                                                                                                                                                                                 | Strong corporate culture builds trust, increases job satisfaction, and creates stability which enhances long-term success.                                                                                                                                                                                          |
| G1-2 Corruption and bribery                  | It's important to ensure transparency in business and the management of properties.                                                                                                                                                                                                                                          | Legal risk for the company and damaged reputation if corruption should be revealed.                                                                                                                                                                                    | A clear policy against corruption fosters trust, reduces legal risk, and strengthens the relationship with clients, investors, and other stakeholders.                                                                                                                                                              |





# Value Chain and Scopes of Heimar

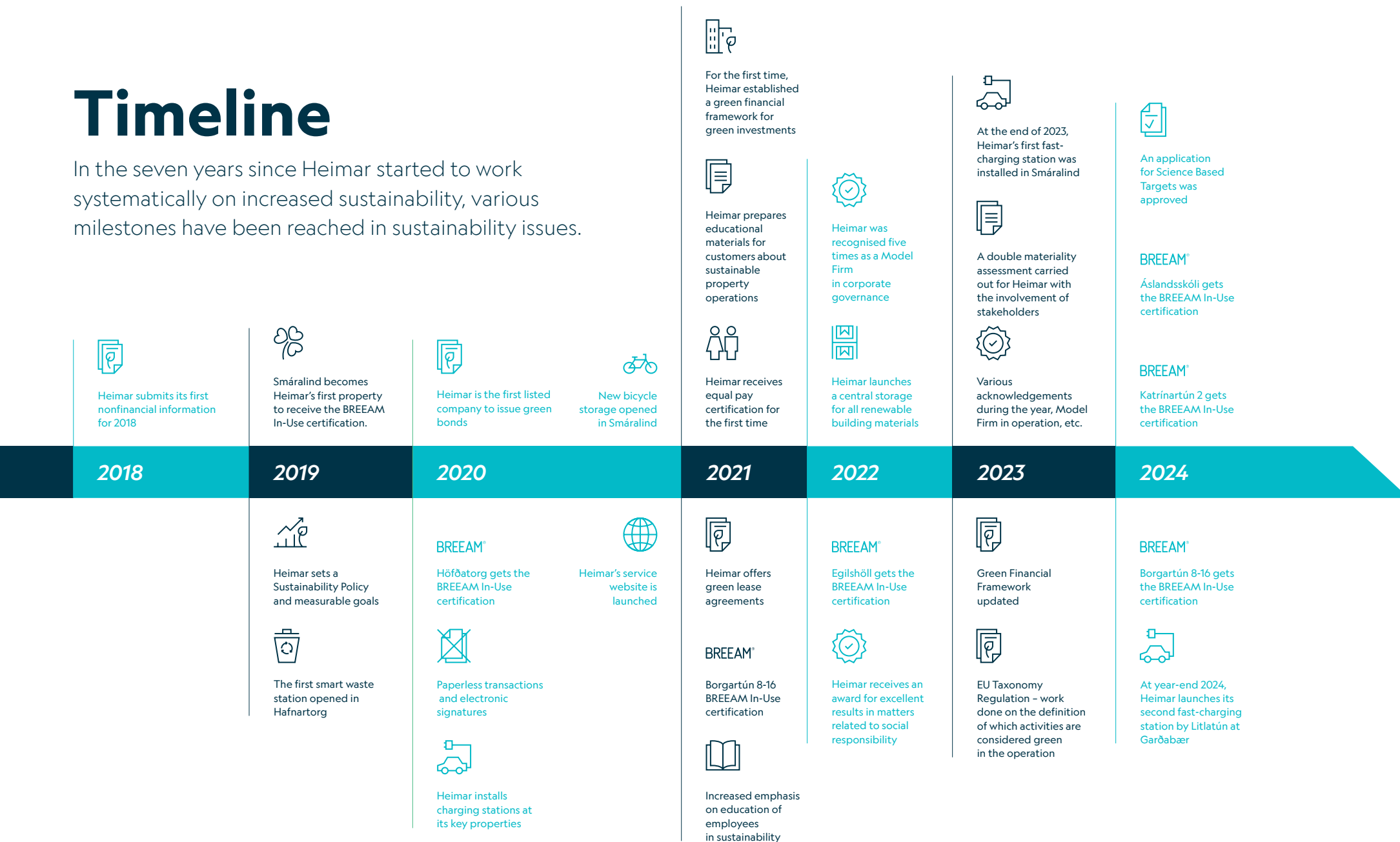
\*Categories which Heimar will not divulge at this moment





# Timeline

In the seven years since Heimar started to work systematically on increased sustainability, various milestones have been reached in sustainability issues.





# Environment

## Climate change mitigation <sup>E1-1</sup>

Heimar plans on setting targets for a reduction in greenhouse gas emissions in accordance with the methodology of Science Based Targets initiative (SBTi) and its commitment for “near-term targets” has already been approved.

Concurrent with those efforts, goals will be set in accordance with the Paris accords to limit global warming to 1.5°C. Scientifically based goals are expected to be handed in for SBTi approval no later than in the latter part of 2026.

Locked-in greenhouse gas emissions refers to emissions inherent in the existing portfolio, infrastructure, current agreements, or regulations. These emissions are inevitable unless the properties, infrastructure, or systems are improved, altered, no longer used. The locked-in emissions of Heimar mostly stems from older buildings, building materials, and building systems with a high inherent carbon footprint, which could create transitional risk if no action is taken. This challenge could limit the flexibility of Heimar on its path towards carbon neutrality unless the portfolio is further reformed.

The current transition plan of Heimar is based on the implementation of key elements which are geared towards increased sustainability. This includes strategic measures to increase energy efficiency, contribute to the re-use of building materials, environmental certifications of the portfolio, and efficient waste management solutions. These projects are further outlined in section E1-3.

Additionally, Heimar has defined a green investment framework (p. 44) which is specifically meant to underpin the company’s sustainability goals until the year 2028.







## Policy for climate change action and adaptation <sup>E1-2</sup>

Heimar has formed a policy to reduce negative effects from its operation on the climate and adapt to the changed which may come from global warming. The company has implemented procedure and measures which contribute to the reduction of the portfolio's carbon footprint, among other things by improving the energy efficiency of properties, increasing waste sorting, and generally reducing greenhouse gas emissions. The policy of Heimar is based on principles of sustainable development and complies with international standards, including ESRS.

The policy of the company covers the sustainability issues related to climate issues, such as energy efficiency, carbon offsetting, and the mitigation of environmental changes. The goals of Heimar include a reduction of energy use in its operations and contributing to increased environmental awareness among lessees and partners. The company also focuses on green financing to invest in more climate-friendly solution which support carbon neutrality for the future.

Should Heimar not adopt a climate policy, the company's report will include that fact, along with explanations of the reasons for it and plans to do better in the future. The company has committed itself to increased transparency in information sharing regarding sustainability and to comply with the development of the ESRS standard, which involves requires reporting and assessment of the effects of climate issues on the operation and portfolio.

## Actions and solutions <sup>E1-3</sup>

Heimar focus on reducing greenhouse gas emissions and adapting its portfolio to climate change. To that end, diverse actions have been implemented which are geared towards limiting the company's carbon footprint, including increasing energy efficiency in properties. These measures involve implementing energy efficient solutions, such as LED-lighting, improved building management systems, installation of charging stations, purchases of electronic service vehicles, and the use of heat generators which use hot water more efficiently.

Many of these measures are part of the BREEAM-certification process of Heimar. Presently, 38% of the portfolio has received a BREEAM In-Use certification with the rating Very Good. Additionally, Heimar offers smart waste solutions within its largest properties, which facilitates waste sorting and disposal monitoring for lessees. The company also runs a circular storehouse where building materials which result from renovations are saved for re-use within the portfolio or sold to the public through collaborators.

### Green lease agreements

Green leases involve commitments from corporations to set measurable goals to, at a minimum, reduce waste, lower energy use, and increase climate friendly transportation. The company sees green leases as a twofold benefit, both financial and environmental. Therefore, additional emphasis was placed on the development of processes and the presentation of green leases in the year 2024. At year-end, 19 such agreements were in effect, and work on the development and drafting of more agreements is underway.



### Smart waste

In 2019, Heimar put the company's first smart waste into use at Hafnartorg. The company has since worked on implementation and further development of the solution at other properties.

The commonality of the smart waste stations of Heimar is to weigh, register, and sort the amount of waste from each tenant. Information regarding waste management is then accessible on the service web of the company. Users can therefore make use of the information to increase efficiency within their operation, utilise the data for reporting, or enhance their sustainability image. Presently the solution is available at Smáralind, Katrínartún 2, at Hafnartorg, and soon at Egilshöll. Each station is adapted to the activities on site, the amount of waste, and the division between categories. The solution has numerous times proven to increase the rate of waste sorting, and it has grown by 42% since 2019.

### Environmental Certifications

Properties' environmental certifications play a major role in reducing the negative environmental impact of the company's properties. Efforts are constantly underway to certify and recertify properties in the portfolio of Heimar.

With the environmental certification of properties it is, for example, possible to identify the risks that each building poses to the environment, as well as being a confirmation by a third party that the operator follows the best standards and requirements in the management of properties. The certification facilitates the provision of information to lessees about operational aspects, such as energy consumption and waste sorting, which are increasingly in demand.

In 2024, several important milestones were reached in environmental certifications for the real estate company: Áslandsskóli received the BREEAM In-Use new certification, the first Icelandic primary school to do so, and Borgartún 8-16 received a BREEAM-In-Use recertification. Efforts are underway to gain a BREEAM New Construction certification for Dvergshöfði 4 and a BREEAM In-Use certification for Dvergshöfði 2.

### Reuse of Building Materials and Equipment

The circular storehouse of Heimar is based on the ideology of the circular economy. The storehouse is based on collecting reusable building materials, furniture, and devices from construction projects into a central storehouse. There, they are either reused for our own projects or sold on consignment. A stock system has been introduced where each unit is given a specialised QR-code to facilitate overall management in special software. In 2024, about 140 units were sold to individuals, companies, and non-governmental organisations all over the country, where the sale of furniture was most conspicuous. The project, which supports well the sustainability policy of the company, will be further developed.





### Increased oversight

Heimar has increased oversight and improved the technical systems of properties with strategic actions. By implementing the maintenance system Fiix, better monitoring of the state of technological systems and their maintenance has been ensured. Building management systems of key properties have been either improved or replaced to enhance activity and controls. Additionally, work is underway on the instalment of smart water gauges and energy gauges in many larger technical systems, which enable the company to monitor the resource use within the properties. The aim is success in the operation and with regard to sustainability, but it also contributes to an accurate measurement of the success.

### Charging stations

In recent years, the focus on green transportation by the properties of the company has increased, especially with the increased number of charging stations for electric vehicles. Heimar places importance on facilitating the energy transition in Iceland and the instalment of charging stations is also in accordance with the requirements of the BREEAM In-use certification. The charging stations not only serve the clients and visitors of the company's largest properties, but they are also meant to serve communities nearby, with prices which are more convenient for longer charging periods outside of peak hours.

By the end of 2024, there were 145 electric charging stations at the company's properties, including four fast-charging stations installed at Smáralind and two by Litlatún in Garðabær. The aim is to further increase the number of stations in 2025 and reach more users. The goal of the company is to have installed 170 charging stations by 2030.



*Plans for sustainability related investments are interwoven with the long-term policy of limiting the carbon footprint of the operation and contributing to a sustainable real estate operation. Such investments are a key factor in the future vision of the company for a sustainable real estate operation."*





## Climate goals <sup>E1-4</sup>

Heimar has set climate goals regarding emissions from the properties operated by Heimar and works strategically towards reaching them with diverse actions. Emphasis is placed on analysing and reducing emissions on all levels of the operation. However, the year 2024 saw particular efforts to cover Category 13 in Scope 3 according to the GHG Protocol, emissions from the company’s downstream leased assets.

To monitor the progress of the goals, Heimar has defined the year 2019 as the base year for emissions from own operations. This base year provides a clear comparison with the results which are achieved, and puts the goals in a historic context. In the (tables or graphs) the development is evident, showing how Heimar approaches its climate goals.

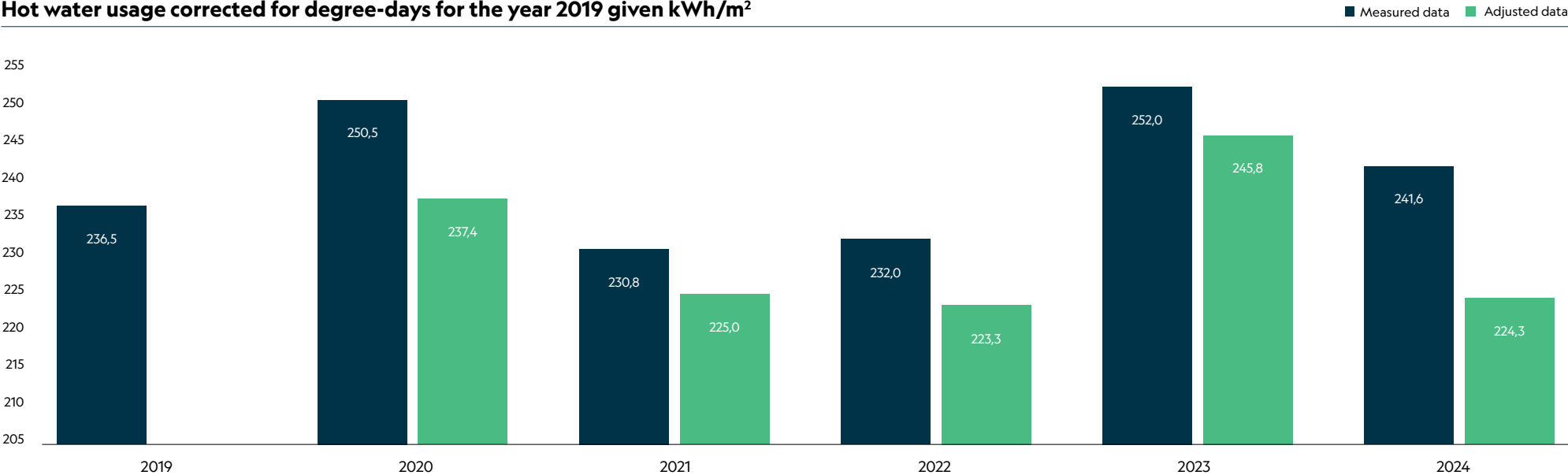
Carbon emissions from electricity and heat are calculated from the emissions standards of the Environmental Agency, reflecting local energy production in Iceland. Heimar has also surveyed market-based emissions and they proved to be 8.2kt tCO<sub>2</sub>eq from operated properties, and just under 28 kt when all energy accounted for is considered. External temperature is an important factor in the use of hot water in Iceland and

so-called degree-days have been applied to reveal the extent of temperature related fluctuations. This approach reduces the error which is otherwise formed due to varying temperatures from one year to the next. The column chart here below shows utilisation of hot water and the utilisation after external temperature has been corrected for.

The Environmental Agency’s emission standards for electricity and hot water are updated annually, and can fluctuate depending in the ratio of water from high-temperature and low-temperature areas, as well as the composition of electricity production. These changes effect emissions numbers from one year to the next and can even show increased emissions despite reduced use. Previously used emissions standard, dating back to 2019 was a fixed number, and has been updated with reference to the recently issued emissions standards of the Environmental Agency.

To ensure that emissions accounting and climate goals are in accordance with international standards, Heimar works in accordance with the guidelines of the GHG Protocol and the method modelled by PCAF in assessing the reliability of data. Also, the company has forged a path towards goal setting in accordance with the Science Based Target initiative (SBTi) methodology (p. 69,) which will provide a clearer framework for goal setting and measures in the future.

Hot water usage corrected for degree-days for the year 2019 given kWh/m<sup>2</sup>

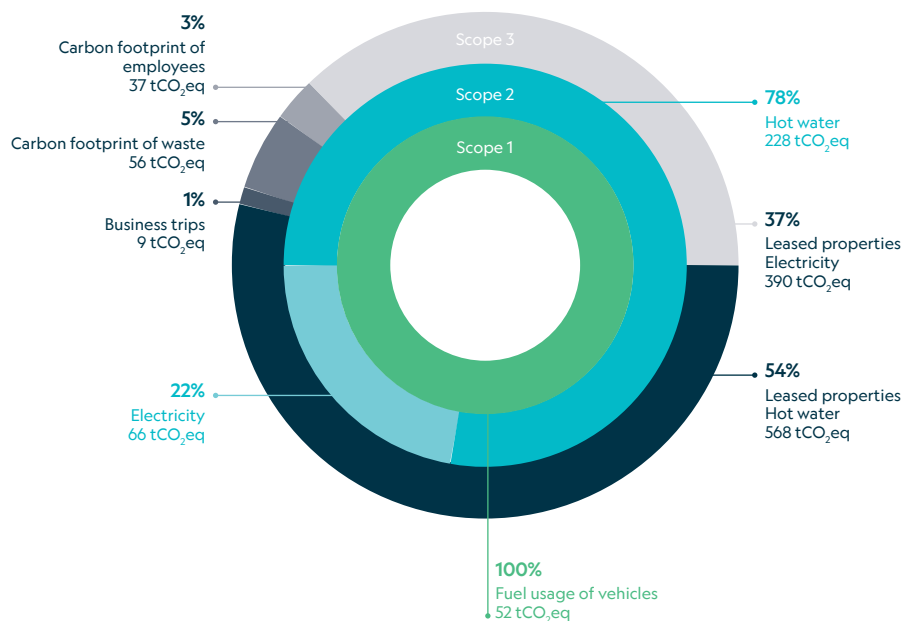


## New environmental information

Work on mapping the value chain and analysing scopes has provided Heimar with better understanding and knowledge regarding emissions within the value chain. The bar chart to the side demonstrates the emissions as they have been published since 2019 but now 2024 is added to all emissions from usage of electricity and hot water in the leased properties of the company. As is evident, those emissions amount to just under 2/3 of all emissions in the company's settlement.

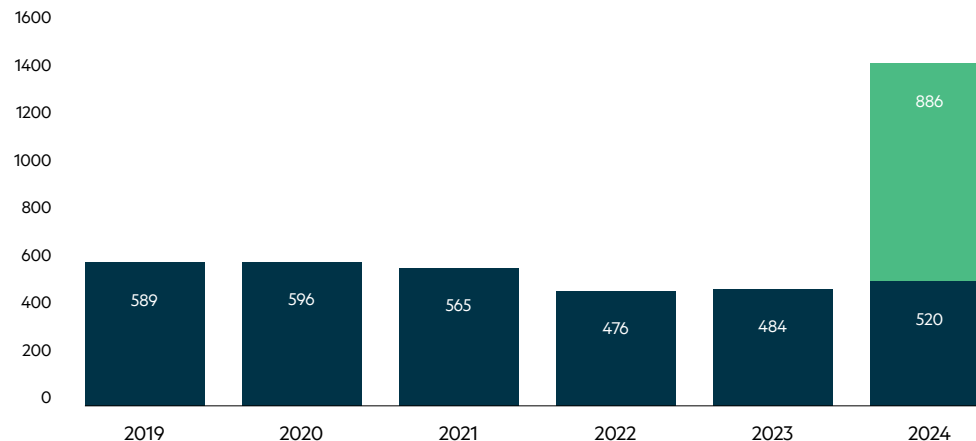
The emissions have been itemised by the scopes and origins of emissions from the categories outlined by Heimar. Scope 1 consists solely of emissions from fuel on the vehicles within the company's operation, and scope 2 covers the electricity and heat of properties within the operation. Scope 3 demonstrates usage in leased properties along with employee transportation, business trips and operational waste.

### Division of scopes



### Carbon footprint tCO<sub>2</sub>e

■ Operations in Properties ■ Scope 3 - Category 13



## Energy usage and composition of energy <sup>E1-5</sup>

Heimar produces neither geothermal energy nor electricity, therefore the company buys all electricity and heating from domestic energy companies which produce energy in a renewable manner, according to local standards. The total energy use related to our own operation is shown in the reference table, (link) as well as the total energy use from fossil fuels which is used for a few pieces of construction equipment and vehicles at Heimar.

Energy consumption is stated as one of the key standards and interesting information to publish. To date, Heimar has chosen to publish the energy consumption of each square metre, as that has been deemed to better reflect the usage of the buildings than emissions per income. According to the ESRS, however, energy consumption is to be published as a proportion of income, as property management belongs to an industry whose climate effects are great.

The total energy usage of Heimar for 2024 was 161,713 MWh in scope 1, 2, and 3 combined, while the net income of the company amounted to ISK 14,837 billion. The energy consumption of Heimar in property management, measured as total energy usage per each króna, is therefore 10.91 kWh/m.ISK The number can be read as demonstrative of progress in the area of sustainability and energy efficiency, although one should bear in mind that most of the energy usage falls under Scope 3 - Category 13, leased properties, where the company has a limited effect on energy usage.

## Data quality

Heimar has decided to go a step further than simply calculating scope 2. During the year we have measured and calculated Scope 3 – leased properties, within the portfolio. This approach provides the company with better oversight regarding its carbon emissions and enables us to make more focused decisions towards a more sustainable operation.

The company has access to utility information for about 34% of the portfolio, which provides an important basis for calculations. To enhance data collection, Heimar has sent queries to several selected clients, requesting information regarding consumption of electricity and hot water. Clients who lease 26% of the square metres of the portfolio have provided the company with answers to that request.

On the other hand, Heimar does not have access to the energy usage of 40% of the portfolio, as the customers of these properties are registered for the utility measurements and have not provided the company with information regarding their energy consumption. To meet these challenges, the portfolio has been divided into six categories, which ensures uniformity in the assessment of energy consumption:

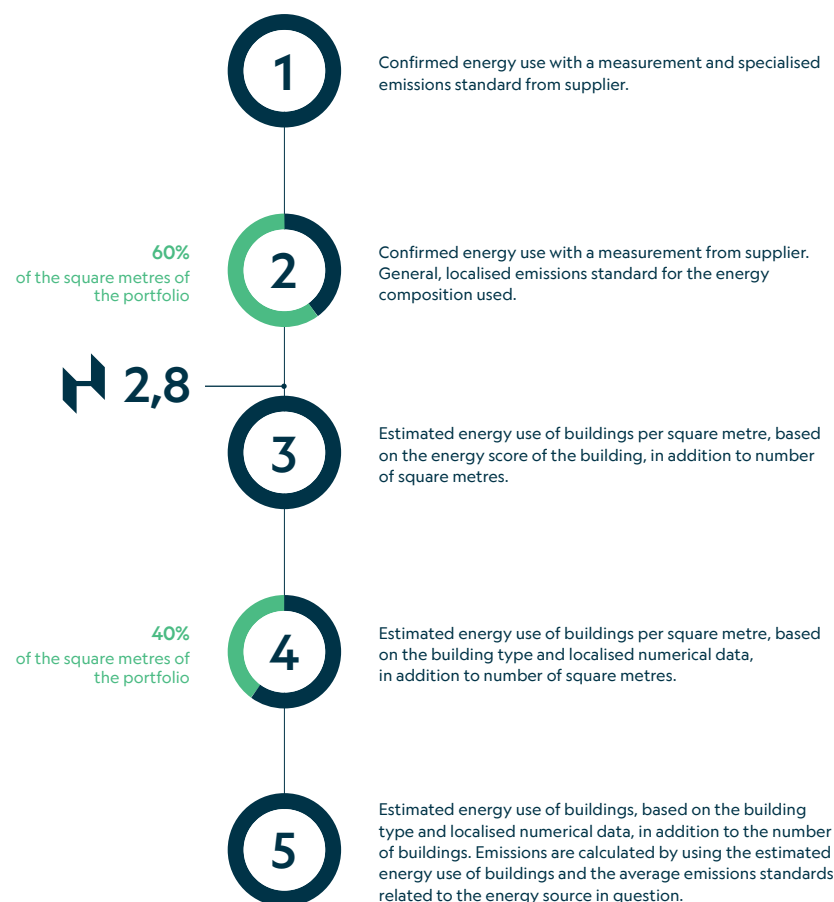
- Health, education, and recreational housing
- Industrial and storage housing
- Office premises
- Retail operations and services
- Hotels and guesthouses
- Development projects

Based on the measured data which Heimar controls, the company has classified energy use with these six categories. This categorisation has been used to prepare key values for electricity and hot water use per square metre for each category of properties. These key figures are then transferred onto the part of the portfolio where no direct information is available for energy use, which amounts to 40% of the total number of square metres within the portfolio.

In calculating the carbon footprint related to use of electricity and hot water, the emissions standards of the Environmental Agency are used.

Efforts will be made to increase the amount of data and improve their quality in the coming years. That way, Heimar is given a more comprehensive and credible presentation of its carbon footprint.

Heimar has used the PCAF data-quality standard for real estate as a model for assessing the quality of the data upon which the calculation of greenhouse gas emissions from the portfolio is based. The PCAF provides fixed standards to classify the quality of data on a scale of 1 to 5, where 1 represents the highest data quality and 5 the lowest quality of data. The standard assesses the quality of data related to the usage of electricity, heat, and cooling within properties.







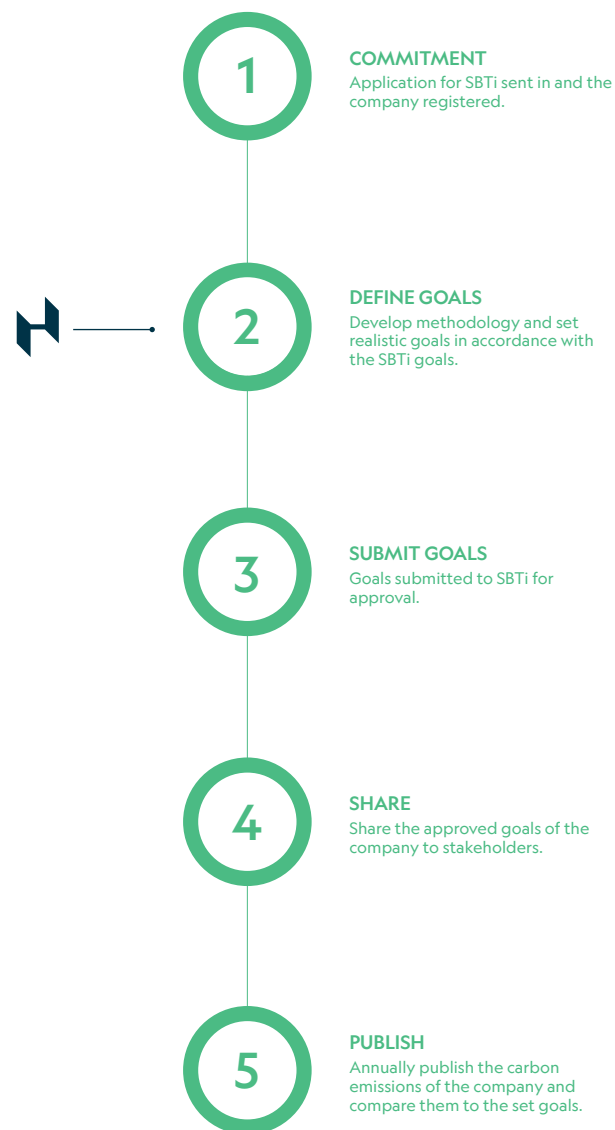
## Science Based Target (SBTi)

In late 2024, Heimar received a confirmation of its commitment to the Science Based Targets initiative (SBTi) and within two years they will issue their targets for the reduction of the carbon footprint of the company, based on the scientific methodology of SBTi. That work is in support of the requirements of CSRD and the aforementioned ESRS standards.

The company received a confirmation of its commitment to the so-called “near-term” goals, which are scientifically sound emissions goals which corporations commit themselves to reaching within a window of 5-10 years. The goals are geared towards reducing greenhouse gas emissions in accordance with the 1.5°C goal of the Paris Accords and provide corporations with a precise framework to reduce their carbon footprint in a clear and measurable manner.

The plan of the company is to follow the methodology of SBTi about the mapping of the company’s carbon footprint to define goals about its reduction in the coming years. Work is already underway to analyse Scope 3, which is an important part of the total goal setting process. The mapping of emissions from the company’s value chain in 2025 will be worked on further.

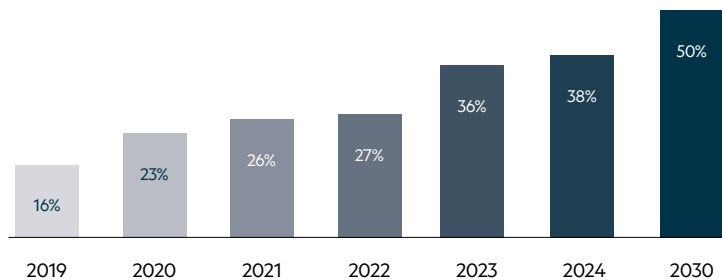
### SBTi | Process



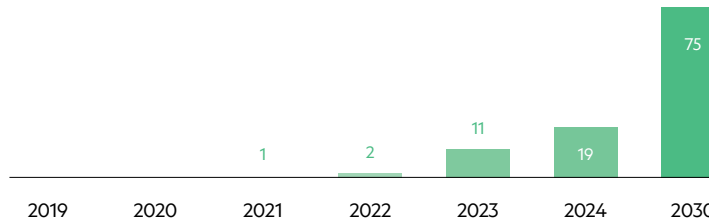


## Goals and Achievements in Environmental Sustainability

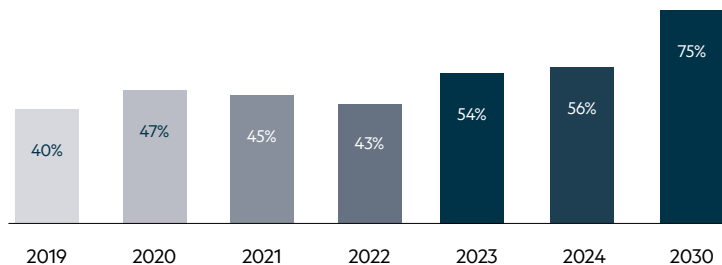
Ratio of environmentally certified properties in m<sup>2</sup>



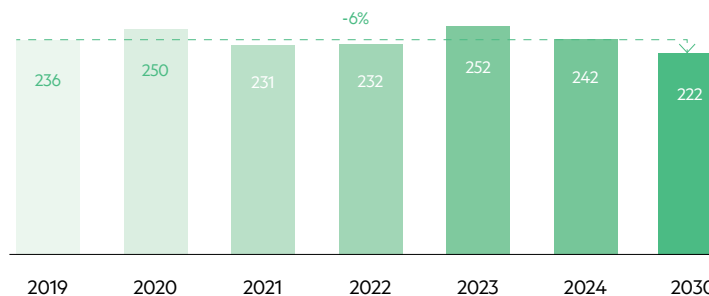
Number of green lease agreements



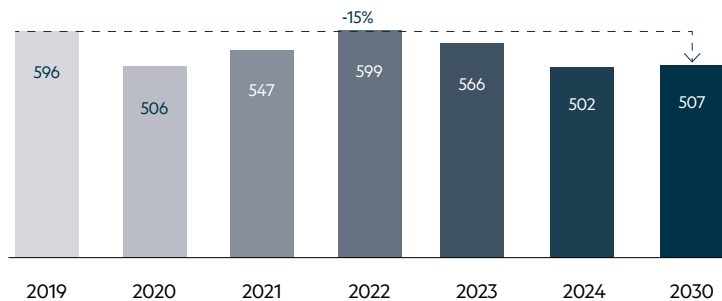
Waste Sorting Ratio



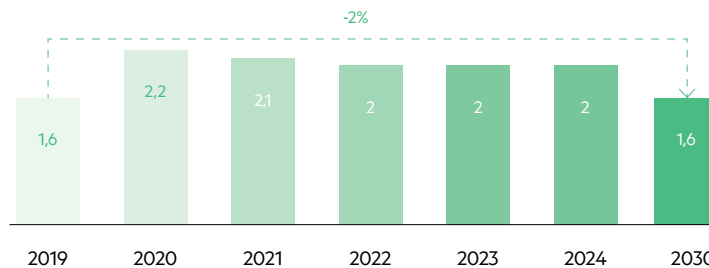
Hot water use in kWh/m<sup>2</sup>



Waste volume in tonnes

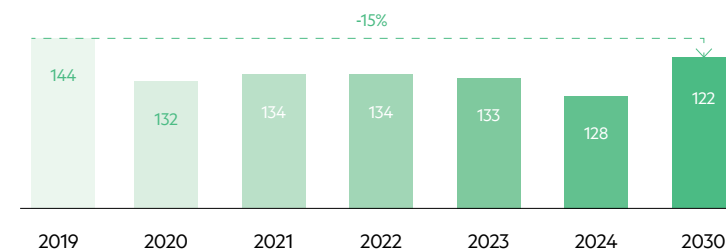


Cold water in m<sup>3</sup>/m<sup>2</sup>

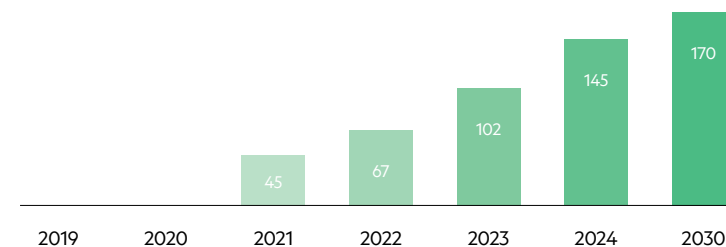




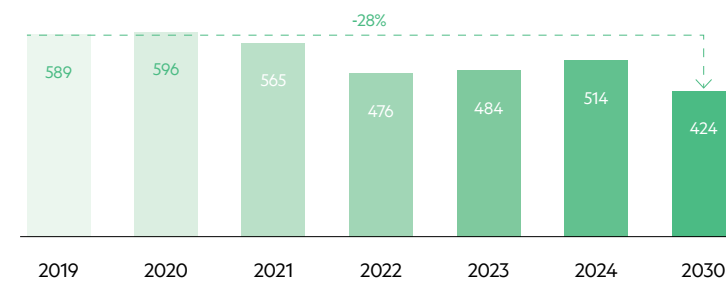
### Electricity use in kWh/m<sup>2</sup>



### Number of charging stations



### Greenhouse gas emissions in tCO<sub>2</sub>eq









# With Sustainability as the Lodestar

## Sustainability information sharing in accordance with the most recent requirements of <sup>BP1</sup> | <sup>BP2</sup>

Heimar now prepares its sustainability report in accordance with the European Sustainability Reporting Standards (ESRS) standard of the European Union.

The report conforms with the guidelines of the standard but does not entirely live up to it. The abbreviations under the headings refer to the standards in question which are available at the end of this report. Selected sustainability information has been confirmed by an independent auditor with limited certainty.

### Sustainability as the basis of policy formation

Sustainability is an integral part of the operation of Heimar. The company sets measurable goals which are regularly reviewed and shares information in accordance with ESRS in. The CEO is responsible for the sustainability policy, managing directors are responsible for its implementation, and the board of the company fulfils its monitoring role in accordance with its legal obligation.

Heimar has begun a transitional process for Corporate Sustainability Reporting Directive (CSRD,) which replaces article 66d of the annual accounts bylaws. The company has conducted a double materiality assessment along with a loophole analysis to map the necessary reforms.

### Increased focus on environmental information

Environmental information within the report now covers a larger part of the portfolio, for instance with an itemisation of:

- **Scope 1** – Fuel Use of the Company's Vehicles
- **Scope 2** – Electricity Use and Heating Supply
- **Scope 3** – Waste from Operations, Employee Transportation, and the Estimated Energy Use of Tenants in Leased Properties

This itemisation comes with ESRS and distinguishes in a clearer way the effects of operators from those of customers.

### Social Sustainability and Good Corporate Governance

There is a discussion regarding equality, human rights, job satisfaction, and corporate governance. In the annual financial statement ([link](#)), information sharing is in accordance with EU Taxonomy, which defines which parts of Heimar's operation are deemed sustainable from income, investments and operational costs.

The policies of Heimar reflect the introduction of sustainability into the company's core operation (see website – [link](#).)

### Future vision in sustainability reporting

With the upcoming legalisation of CSRD in Iceland, Heimar's reporting is developing in accordance with the requirements of ESRS, European, and Icelandic regulations. The aim is stable and transparent sustainability information sharing into the future.









# Reference table

## Nasdaq ESG-reference table <sup>E1-6</sup>

The ESG-guidance of Nasdaq (the ESG reporting guide 2.0) was used to process the information below.

The Sustainability Settlement of Heimar for the year 2024 is performed in accordance with ESG guidelines that Nasdaq in Iceland and the Nordic Countries published in the year 2019. The guidelines are based on proposals that were put forward in the year 2015 by the United Nations, the Sustainable Stock Exchange Initiative, and a working group with the World Federation of Exchange. Reference is also made to the corresponding criteria of the GRI Standard (Global Reporting Initiative GRI100-400) and the Reporting Principles (P1-10) of the United Nations Global Compact (UNGC.)

Heimar uses digital technology to ensure the traceability, transparency, and efficiency of the collection of data and the dissemination of information related to sustainability issues.

In the subsequent table, all emissions from the company's operations is outlined. The table is based on three kinds of

information. The foremost columns demonstrate environmental information as they have been presented in recent years, for 6 operational assets which amount to about one third of the portfolio, along with information regarding our own operation. In addition to that information, the energy use from all operations is now specified, whether from operational properties or leased properties. This is the first time that the company publishes estimate use from leased properties, which explains a significant increase. The published use is in part based on real numbers, for about 60% of the portfolio, and 40% is estimated on the basis of real data from buildings involved in comparable operations, according to the segment definition of the company. All information regarding social matters and governance apply to the entire company.

The column "various operations" contains information regarding use from the smaller joint properties of homeowner's associations, charging stations, and unleased spaces.

The column "leased properties" details information pertaining to energy use from leased properties in the downstream leased assets of Heimar and that use is now classified into Scope 3, category 13.

The energy use of leased properties was analysed by gathering information from lessees, and the data collected covered 26% of the portfolio of the company, or lessees in just over 97,000 square metres of the portfolio. Said data, along with data from Heimar regarding operational assets (see the table "Operational assets,") was used to estimate the 40% for which real data was unavailable. The information in the column "leased properties," therefore, presents an estimated carbon footprint of the use of electricity and hot water for 66% of the company's portfolio.



## Reference table

|                                      | Unit           | 2019    | 2020    | 2021    | 2022    | 2023    | 2024    | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |   |
|--------------------------------------|----------------|---------|---------|---------|---------|---------|---------|------------------------|------------------------|----------------------------|---------------------------|---------------|---|
| Size of premises                     | m <sup>2</sup> | 126,196 | 126,196 | 126,196 | 126,196 | 126,196 | 126,196 | 0%                     | 0%                     |                            | 248,023                   | 374,219       | X |
| Size of premises regarding hot water | m <sup>2</sup> | 102,723 | 126,196 | 126,196 | 126,196 | 126,196 | 126,196 | 23%                    | 0%                     |                            |                           |               |   |
| Size of premises                     | m <sup>3</sup> | 969,489 | 969,489 | 969,489 | 969,489 | 969,489 | 969,489 | 0%                     | 0%                     |                            |                           |               |   |
| Size of premises regarding hot water | m <sup>3</sup> | 835,767 | 969,489 | 969,489 | 969,489 | 969,489 | 969,489 | 16%                    | 0%                     |                            |                           |               |   |

Within the scope of  
Deloitte's assurance

## Emission Accounting

| E1 -<br>Greenhouse gases              | Unit                     | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |   |
|---------------------------------------|--------------------------|--------------|--------------|--------------|--------------|--------------|--------------|------------------------|------------------------|----------------------------|---------------------------|---------------|---|
| Scope 1                               | tCO <sub>2</sub> eq      | 66.6         | 62.6         | 60.5         | 50.0         | 52.1         | 51.7         | -22%                   | -1%                    | 0.0                        | 0.0                       | 51.7          | X |
| Scope 2 (location-based)              | tCO <sub>2</sub> eq      | 305.1        | 340.9        | 326.4        | 362.9        | 380.9        | 293.8        | -4%                    | -23%                   | 14.5                       | 0.0                       | 308.3         | X |
| Scopes 1 and 2 in total               | tCO <sub>2</sub> eq      | 371.7        | 403.5        | 386.9        | 412.9        | 433.0        | 345.5        | -7%                    | -20%                   | 14.5                       | 0.0                       | 360.0         | X |
| Scope 3                               | tCO <sub>2</sub> eq      | 217.5        | 192.7        | 178.1        | 63.1         | 50.7         | 174.1        | -20%                   | 243%                   | 19.6                       | 886.0                     | 1079.7        |   |
| <b>Total Greenhouse Gas Emissions</b> | <b>tCO<sub>2</sub>eq</b> | <b>589.2</b> | <b>596.2</b> | <b>565.0</b> | <b>476.0</b> | <b>483.7</b> | <b>519.6</b> | <b>-12%</b>            | <b>7%</b>              | <b>34.1</b>                | <b>886.0</b>              | <b>1439.7</b> |   |

| Mitigating Measures                        | Unit                | 2019  | 2020   | 2021   | 2022  | 2023  | 2024  | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |
|--------------------------------------------|---------------------|-------|--------|--------|-------|-------|-------|------------------------|------------------------|----------------------------|---------------------------|---------------|
| Mitigating measures                        | tCO <sub>2</sub> eq | 688.6 | 707.4  | 722.0  | 561.1 | 560.0 | 514.0 | -25%                   | -8%                    | 34.0                       | 0.0                       | 548.0         |
| Carbon emissions minus mitigating measures | tCO <sub>2</sub> eq | -99.4 | -111.2 | -157.0 | -85.1 | -76.3 | 5.6   | -106%                  | -107%                  |                            |                           |               |

Nasdaq: E1IUNG; P7IGRI 305-1,305-2,305-3ISASB: General Issue/GHG Emissions|TCFD: Metrics & Targets

| Scope 1<br>Composition of Emissions | Unit                | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |   |
|-------------------------------------|---------------------|------|------|------|------|------|------|------------------------|------------------------|----------------------------|---------------------------|---------------|---|
| Total Emissions                     | tCO <sub>2</sub> eq | 66.6 | 62.6 | 60.5 | 50.0 | 52.1 | 51.7 | -22%                   | -1%                    | 0                          | 0                         | 51.7          | X |
| Localised Fuel Use                  | tCO <sub>2</sub> eq | 0.0  | 0.0  | 0.0  | 0.0  | 0.0  | 0.0  | 0%                     | 0%                     | 0                          | 0                         | 0.0           | X |
| Vehicle Fuel Emissions              | tCO <sub>2</sub> eq | 66.6 | 62.6 | 60.5 | 50.0 | 52.1 | 51.7 | -22%                   | -1%                    | 0                          | 0                         | 51.7          | X |
| Leak Emissions                      | tCO <sub>2</sub> eq | 0.0  | 0.0  | 0.0  | 0.0  | 0.0  | 0.0  | 0%                     | 0%                     | 0                          | 0                         | 0.0           | X |

| Scope 2<br>Composition of Emissions | Unit                | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |   |
|-------------------------------------|---------------------|-------|-------|-------|-------|-------|-------|------------------------|------------------------|----------------------------|---------------------------|---------------|---|
| Total Emissions                     | tCO <sub>2</sub> eq | 305.1 | 340.9 | 326.4 | 362.9 | 380.9 | 293.8 | -4%                    | -23%                   | 14.5                       | 0                         | 308.3         | X |
| Electricity (location based)        | tCO <sub>2</sub> eq | 143.0 | 115.8 | 136.6 | 143.9 | 142.9 | 65.7  | -54%                   | -54%                   | 9.2                        | 0                         | 74.9          | X |
| Heating utility                     | tCO <sub>2</sub> eq | 162.1 | 225.1 | 189.8 | 219.0 | 238.0 | 228.1 | 41%                    | -4%                    | 5.3                        | 0                         | 233.4         | X |



| Scope 3 Emissions at Previous Stages                                                            | Unit                                | 2019  | 2020  | 2021  | 2022  | 2023 | 2024  | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 | Within the scope of Deloitte's assurance |
|-------------------------------------------------------------------------------------------------|-------------------------------------|-------|-------|-------|-------|------|-------|---------------------|---------------------|-------------------------|------------------------|------------|------------------------------------------|
| <b>Category 5 - Waste from Operations</b>                                                       |                                     |       |       |       |       |      |       |                     |                     |                         |                        |            |                                          |
| Total Emissions                                                                                 | tCO <sub>2</sub> eq                 | 179.8 | 155.2 | 140   | 32.8  | 25.1 | 55.9  | -69%                | 123%                | 19.6                    | 0.0                    | 75.5       |                                          |
| Transportation, disposal, and management of waste                                               | tCO <sub>2</sub> eq                 | 179.8 | 155.2 | 140   | 32.8  | 25.1 | 55.9  | -69%                | 123%                | 19.6                    | 0.0                    | 75.5       |                                          |
| Sewage system                                                                                   | tCO <sub>2</sub> eq                 | 0     | 0     | 0     | 0     | 0    | 0     | -                   | -                   | -                       | -                      | -          |                                          |
| <b>Category 6 - Business Trips</b>                                                              |                                     |       |       |       |       |      |       |                     |                     |                         |                        |            |                                          |
| Total Emissions                                                                                 | tCO <sub>2</sub> eq                 | 0     | 0     | 0     | 0     | 0    | 8.9   | -                   | -                   | 0.0                     | 0.0                    | 8.9        | X                                        |
| Flights                                                                                         | tCO <sub>2</sub> eq                 | 0     | 0     | 0     | 0     | 0    | 7.5   | -                   | -                   | 0.0                     | 0.0                    | 7.5        | X                                        |
| Overnight stays in hotels                                                                       | tCO <sub>2</sub> eq                 | 0     | 0     | 0     | 0     | 0    | 1.4   | -                   | -                   | 0.0                     | 0.0                    | 1.4        | X                                        |
| <b>Category 7 - Employee Transportation</b>                                                     |                                     |       |       |       |       |      |       |                     |                     |                         |                        |            |                                          |
| Total Emissions                                                                                 | tCO <sub>2</sub> eq                 | 37.7  | 37.5  | 37.82 | 30.4  | 25.6 | 37.4  | -1%                 | 46%                 | 0.0                     | 0.0                    | 37.4       | X                                        |
| Coaches                                                                                         | tCO <sub>2</sub> eq                 | 0.0   | 0.0   | 0.0   | 0.4   | 0.1  | 0.0   | 0%                  | 0%                  | 0.0                     | 0.0                    | 0.0        | X                                        |
| Private cars                                                                                    | tCO <sub>2</sub> eq                 | 37.7  | 37.5  | 37.8  | 30.0  | 25.5 | 37.4  | -1%                 | 47%                 | 0.0                     | 0.0                    | 37.4       | X                                        |
| Walking/cycling                                                                                 | tCO <sub>2</sub> eq                 |       |       |       |       |      |       | 0%                  | 0%                  | 0.0                     | 0.0                    | 0.0        | X                                        |
| Does the company reward employees for an eco-friendly way of travel?                            | yes/no                              | no    | no    | yes   | yes   | yes  | yes   |                     |                     |                         |                        |            |                                          |
|                                                                                                 |                                     |       |       |       |       |      |       |                     |                     |                         |                        |            |                                          |
| Scope 3 Emissions at Previous Stages                                                            | Unit                                | 2019  | 2020  | 2021  | 2022  | 2023 | 2024  | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 |                                          |
| <b>Category 13 - Leased properties</b>                                                          |                                     |       |       |       |       |      |       |                     |                     |                         |                        |            |                                          |
| Total Emissions                                                                                 | tCO <sub>2</sub> eq                 | -     | -     | -     | -     | -    | 71.9  | -                   | -                   | 0.0                     | 886.1                  | 958.0      | X                                        |
| Electricity consumption                                                                         | tCO <sub>2</sub> eq                 | -     | -     | -     | -     | -    | 71.9  | -                   | -                   | 0.0                     | 317.7                  | 389.6      | X                                        |
| Heating utility                                                                                 | tCO <sub>2</sub> eq                 | -     | -     | -     | -     | -    | 0.0   | -                   | -                   | 0.0                     | 568.4                  | 568.4      | X                                        |
|                                                                                                 |                                     |       |       |       |       |      |       |                     |                     |                         |                        |            |                                          |
| E2 - Greenhouse Gas Emissions                                                                   | Unit                                | 2019  | 2020  | 2021  | 2022  | 2023 | 2024  | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 |                                          |
| Greenhouse gas emissions                                                                        | kgCO <sub>2</sub> eq/MWst           | 13.78 | 12.30 | 12.22 | 10.28 | 9.92 | 11.11 | -19%                | 12%                 | 19.12                   | 7.9                    | 8.9        |                                          |
| Emissions per square metre (Scopes 1, 2, and 3)                                                 | kgCO <sub>2</sub> eq/m <sup>2</sup> | 4.7   | 4.7   | 4.5   | 3.8   | 3.8  | 4.1   | -12%                | 7%                  |                         | 3.6                    |            |                                          |
| Emissions per square metre (Scopes 1 and 2)                                                     | kgCO <sub>2</sub> eq/m <sup>2</sup> | 2.9   | 3.2   | 3.1   | 3.3   | 3.4  | 2.7   | -7%                 | -20%                |                         | 0.0                    |            |                                          |
| Emissions per cubic metre (Scopes 1, 2, and 3)                                                  | kgCO <sub>2</sub> eq/m <sup>3</sup> | 0.6   | 0.6   | 0.6   | 0.5   | 0.5  | 0.5   | -12%                | 7%                  |                         |                        |            |                                          |
| Emissions per cubic metre (Scopes 1 and 2)                                                      | kgCO <sub>2</sub> eq/m <sup>3</sup> | 0.4   | 0.4   | 0.4   | 0.4   | 0.4  | 0.4   | -7%                 | -20%                |                         |                        |            |                                          |
| Nasdaq: E2IUNGC: P7, P8IGRI 305-4 ISDG: 13ISASB: General Issue/GHG Emissions, Energy Management |                                     |       |       |       |       |      |       |                     |                     |                         |                        |            |                                          |





## Environmental aspects

| E3<br>Energy Consumption                                                                       | Unit | 2019       | 2020       | 2021       | 2022       | 2023       | 2024       | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |
|------------------------------------------------------------------------------------------------|------|------------|------------|------------|------------|------------|------------|------------------------|------------------------|----------------------------|---------------------------|---------------|
| Total energy consumption                                                                       | kWst | 42,743,325 | 48,469,841 | 46,251,574 | 46,322,947 | 48,748,760 | 46,788,615 | 9%                     | -4%                    | 1,783,705                  | 113,140,599               | 161,712,919   |
| Of which energy from geothermal fuel                                                           | kWst | 257,446    | 247,742    | 240,037    | 199,606    | 207,926    | 181,855    | -29%                   | -13%                   | -                          | -                         | 181,855       |
| Of which energy from electricity                                                               | kWst | 18,193,395 | 16,616,154 | 16,888,948 | 16,850,243 | 16,734,213 | 16,120,756 | -11%                   | -4%                    | 1,081,672                  | 37,183,466                | 54,385,894    |
| Of which energy from hot water                                                                 | kWst | 24,292,484 | 31,605,945 | 29,122,589 | 29,273,098 | 31,806,621 | 30,486,005 | 25%                    | -4%                    | 702,034                    | 75,957,132                | 107,145,170   |
| Direct energy consumption                                                                      | kWst | 257,446    | 247,742    | 240,037    | 199,606    | 207,926    | 181,855    | -29%                   | -13%                   | -                          | -                         | 181,855       |
| Indirect energy consumption                                                                    | kWst | 42,485,879 | 48,222,099 | 46,011,537 | 46,123,341 | 48,540,834 | 46,606,761 | 10%                    | -4%                    | 1,783,705                  | 113,140,599               | 161,531,064   |
| Nasdaq: E2IUNG: P7, P8IGRI 305-4 ISDG: 13ISASB: General Issue/GHG Emissions, Energy Management |      |            |            |            |            |            |            |                        |                        |                            |                           |               |

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| E4<br>Energy Consumption                                                         | Unit                | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |
|----------------------------------------------------------------------------------|---------------------|-------|-------|-------|-------|-------|-------|------------------------|------------------------|----------------------------|---------------------------|---------------|
| Total energy consumption per m <sup>2</sup>                                      | kWst/m <sup>2</sup> | 338.7 | 384.1 | 366.5 | 367.1 | 386.3 | 370.8 | 9%                     | -4%                    |                            | 456.2                     | 826.9         |
| Total energy consumption per m <sup>3</sup>                                      | kWst/m <sup>3</sup> | 44.1  | 50.0  | 47.7  | 47.8  | 50.3  | 48.3  | 9%                     | -4%                    |                            |                           |               |
| Nasdaq: E4IUNG: P7, P8IGRI 302-3ISDG: 12ISASB: General Issue / Energy Management |                     |       |       |       |       |       |       |                        |                        |                            |                           |               |

| E5<br>Energy Composition                                           | Unit | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |
|--------------------------------------------------------------------|------|-------|-------|-------|-------|-------|-------|------------------------|------------------------|----------------------------|---------------------------|---------------|
| Fossil fuels                                                       | %    | 0.60% | 0.50% | 0.50% | 0.40% | 0.40% | 0.40% | -33%                   | 0%                     | 0%                         |                           |               |
| Renewable energy                                                   | %    | 99.4% | 99.5% | 99.5% | 99.6% | 99.4% | 99.6% | 0%                     | 0%                     | 100%                       |                           |               |
| Nasdaq: E5IGRI 302-IIISDG: 7ISASB: General Issue/Energy Management |      |       |       |       |       |       |       |                        |                        |                            |                           |               |

| Main Energy Sources<br>for Vehicles | Unit | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |
|-------------------------------------|------|--------|--------|--------|--------|--------|--------|------------------------|------------------------|----------------------------|---------------------------|---------------|
| Total fuel consumption of vehicles  | kg   | 21,669 | 20,849 | 20,176 | 16,718 | 17,413 | 17,301 | -20%                   | -1%                    |                            |                           | 17,301        |
| Petrol                              | kg   | 25     | 178    | 1,070  | 3,117  | 3,327  | 1,875  | 7281%                  | -44%                   |                            |                           | 1,875         |
| Diesel                              | kg   | 21,644 | 20,671 | 19,106 | 13,601 | 14,086 | 15,427 | -29%                   | 10%                    |                            |                           | 15,427        |

X

X

X

| E6<br>Water Consumption                                                        | Unit           | 2019    | 2020    | 2021    | 2022    | 2023    | 2024    | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Various<br>operations 2024 | Leased properties<br>2024 | Total<br>2024 |
|--------------------------------------------------------------------------------|----------------|---------|---------|---------|---------|---------|---------|------------------------|------------------------|----------------------------|---------------------------|---------------|
| Total water consumption                                                        | m <sup>3</sup> | 585,008 | 820,612 | 765,975 | 758,125 | 801,870 | 777,834 | 33%                    | -3%                    | 12,104                     | 1,263,636                 | 2,053,574     |
| Cold water                                                                     | m <sup>3</sup> | 166,172 | 275,682 | 263,861 | 253,417 | 253,480 | 252,214 | 52%                    | 0%                     | -                          | 4,744                     | 256,958       |
| Hot water                                                                      | m <sup>3</sup> | 418,836 | 544,930 | 502,114 | 504,709 | 548,390 | 525,621 | 25%                    | -4%                    | 12,104                     | 1,258,892                 | 1,796,616     |
| Nasdaq: E6IGRI: 303-5ISDG: 6ISASB: General Issue/Water & Wastewater Management |                |         |         |         |         |         |         |                        |                        |                            |                           |               |



| Electrical energy composition | Unit | 2019       | 2020       | 2021       | 2022       | 2023       | 2024       | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 |
|-------------------------------|------|------------|------------|------------|------------|------------|------------|---------------------|---------------------|-------------------------|------------------------|------------|
| Total electricity consumption | kWst | 18,193,395 | 16,616,154 | 16,888,948 | 16,850,243 | 16,734,213 | 16,120,756 | -11%                | -4%                 | 1,081,672               | 37,170,114             | 54,372,542 |
| Fossil fuels                  | %    | 0%         | 0%         | 0%         | 0%         | 0%         | 0%         | 0%                  | 0%                  | 0%                      |                        |            |
| Renewable energy sources      | %    | 100%       | 100%       | 100%       | 100%       | 100%       | 100%       | 0%                  | 0%                  | 100%                    |                        |            |

| Waste Management             | Unit      | 2019           | 2020           | 2021           | 2022           | 2023           | 2024           | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024     |
|------------------------------|-----------|----------------|----------------|----------------|----------------|----------------|----------------|---------------------|---------------------|-------------------------|------------------------|----------------|
| <b>Total waste</b>           | <b>kg</b> | <b>595,996</b> | <b>505,716</b> | <b>547,164</b> | <b>599,132</b> | <b>566,120</b> | <b>502,112</b> | <b>-16%</b>         | <b>-11%</b>         | <b>184,601</b>          |                        | <b>686,713</b> |
| Of which sorted waste        | kg        | 237,674        | 235,506        | 245,187        | 249,340        | 303,924        | 283,386        | 19%                 | -7%                 | 147,381                 |                        | 430,767        |
| Of which unsorted waste      | kg        | 358,322        | 270,210        | 301,977        | 349,792        | 262,196        | 218,726        | -39%                | -17%                | 37,220                  |                        | 255,946        |
| Recycled/reused              | kg        | 235,163        | 224,146        | 243,227        | 541,548        | 494,491        | 399,330        | 70%                 | -19%                | 85,181                  |                        | 484,511        |
| Landfill                     | kg        | 360,833        | 281,570        | 303,997        | 57,584         | 71,629         | 102,782        | -72%                | 43%                 | 99,420                  |                        | 202,202        |
| Proportion of sorted waste   | %         | 39.9%          | 46.6%          | 44.8%          | 41.6%          | 53.7%          | 56.4%          | 42%                 | 5%                  | 79.8%                   |                        | 62.7%          |
| Proportion of recycled waste | %         | 39.5%          | 44.3%          | 44.5%          | 90.4%          | 87.3%          | 79.5%          | 102%                | -9%                 | 46.1%                   |                        | 59.4%          |

| Business trips | Unit | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 |
|----------------|------|------|------|------|------|------|------|---------------------|---------------------|-------------------------|------------------------|------------|
| Total distance | km   |      |      |      |      |      |      |                     |                     | 32,968.15               |                        | 32,968.15  |
| Flights        | km   |      |      |      |      |      |      |                     |                     | 32,968.15               |                        | 32,968.15  |

| Overnight stays in hotels | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 |
|---------------------------|--------|------|------|------|------|------|------|---------------------|---------------------|-------------------------|------------------------|------------|
| Total number of nights    | number |      |      |      |      |      |      |                     |                     | 138                     |                        | 138        |

| Employee Transportation | Unit | 2019 | 2020 | 2021 | 2022    | 2023    | 2024    | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 |
|-------------------------|------|------|------|------|---------|---------|---------|---------------------|---------------------|-------------------------|------------------------|------------|
| Total distance          | km   |      |      |      | 227,631 | 289,700 | 291,106 | 28%                 | 0%                  |                         |                        | 291,106    |
| Public transport        | km   |      |      |      | -       | -       | -       |                     |                     |                         |                        | -          |
| Private cars            | km   |      |      |      | 224,528 | 285,428 | 287,493 | 28%                 | 1%                  |                         |                        | 287,493    |
| Electric vehicles       | km   |      |      |      | -       | -       | -       |                     |                     |                         |                        | -          |
| Walking/cycling         | km   |      |      |      | 3,103   | 4,271   | 3,613   | 16%                 | -15%                |                         |                        | 3,613      |

| Paper Handling                | Unit  | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | Changes 2019 - 2024 | Changes 2023 - 2024 | Various operations 2024 | Leased properties 2024 | Total 2024 |
|-------------------------------|-------|--------|--------|--------|--------|--------|--------|---------------------|---------------------|-------------------------|------------------------|------------|
| Total volume of printed paper | pages | 99,545 | 68,668 | 46,609 | 24,544 | 22,705 | 26,890 | -73%                | 18%                 |                         |                        | 26,887     |
| Back and front printing       | pages | 43,534 | 35,868 | 25,310 | 14,009 | 13,364 | 14,734 | -66%                | 10%                 |                         |                        | 14,731     |



# Umhverfisstjórnun

| E7<br>Umhverfisstarfsemi                                                                                                                                            | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |                        |                        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|------|------|------|------|------|------|------------------------|------------------------|
| Fylgir félagið formlegri umhverfisstefnu?                                                                                                                           | já/nei | Já   | Já   | Já   | Já   | Já   | Já   |                        | X                      |
| Fylgir félagið sérstökum úrgangs-, vatns-, orku- og/eða endurvinnslustefnum?                                                                                        | já/nei | Já   | Já   | Já   | Já   | Já   | Já   |                        | X                      |
| Notar félagið viðurkennt orkustjórnunarkerfi?                                                                                                                       | já/nei | Nei  | Nei  | Nei  | Nei  | Nei  | Nei  |                        | X                      |
| Nasdaq: E7IGRI: 103-2ISASB: General Issue / Waste & Hazardous Materials Management                                                                                  |        |      |      |      |      |      |      |                        |                        |
| E8<br>Loftslagseftirlit / stjórn                                                                                                                                    | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |                        |                        |
| Hefur stjórn yfirumsjón með og/eða stýrir loftslagstengdri áhættu?                                                                                                  | já/nei | Já   | Já   | Já   | Já   | Já   | Já   |                        | X                      |
| Nasdaq: E8IGRI: 102-19, 102-20, 102-29, 102-30, 102-31ISASB: General Issue / Business Model Resilience, Systematic Risk ManagementTCFD: Governance (Disclosure A/B) |        |      |      |      |      |      |      |                        |                        |
| E9<br>Loftslagseftirlit / stjórnendur                                                                                                                               | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |                        |                        |
| Hefur framkvæmdastjórn yfirumsjón með og/eða stýrir loftslagstengdri áhættu?                                                                                        | já/nei | Já   | Já   | Já   | Já   | Já   | Já   |                        | X                      |
| Nasdaq: E9IGRI: 102-19, 102-20, 102-29, 102-30, 102-31ISASB: General Issue / Business Model Resilience, Systematic Risk ManagementTCFD: Governance (Disclosure A/B) |        |      |      |      |      |      |      |                        |                        |
| E10<br>Mildun loftslagsáhættu                                                                                                                                       | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |
| Árleg heildarfjárfesting í loftslagstengdum innviðum, seiglu og vöruþróun                                                                                           | ISK    | 59m  | 63m  | 75m  | 171m | 152m | 190m | 322%                   | 125%                   |
| Nasdaq: E10IUNG: P9ISASB: General Issue / Physical Impacts of Climate Change, Business Model ResilienceTCFD: Strategy (Disclosure A)                                |        |      |      |      |      |      |      |                        |                        |

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# Social aspects

| S1<br>CEO Wage Proportion                                                                                    | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Within the scope of<br>Deloitte's assurance |
|--------------------------------------------------------------------------------------------------------------|--------|------|------|------|------|------|------|------------------------|------------------------|---------------------------------------------|
| Wages and bonuses of CEO (X) as a proportion of the median value of salaries of employees in full-time jobs. | X:1    | 5.03 | 5.39 | 5.25 | 5.15 | 6.45 | 6.90 | 37%                    | 7%                     | X                                           |
| Is information about the aforementioned proportion submitted in a report to the government?                  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        |                                             |
| Nasdaq: S1IUNGC: P6IGRI 102-38                                                                               |        |      |      |      |      |      |      |                        |                        |                                             |
| S2<br>Gender Pay Gap                                                                                         | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| The median wages of men as a proportion of the median wages of women                                         | X:1    | 0.88 | 1.03 | 1.01 | 1.08 | 1.04 | 1.21 | 37%                    | 16%                    | X                                           |
| Results of equal pay audit                                                                                   | %      | 1.6% | 1.3% | 1.9% | 1.0% | 1.4% | 1.4% | -13%                   | 0%                     | X                                           |
| Nasdaq: S2IUNGC: P6IGRI: 405-2   SASB: General Issue / Employee Engagement, Diversity & Inclusion            |        |      |      |      |      |      |      |                        |                        |                                             |
| S3<br>Employee Turnover                                                                                      | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Employee turnover of full-time staff year-on-year                                                            | %      | 14%  | 9%   | 9%   | 9%   | 10%  | 12%  | -15%                   | 21%                    | X                                           |
| Employee turnover of part-time employees year-on-year                                                        | %      | 45%  | 11%  | 14%  | 21%  | 1%   | 3%   | -94%                   | 88%                    | X                                           |
| Nasdaq: S3IUNGC: P6IGRI: 401-1bISDG: 12ISASB: General Issue / Labor Practices                                |        |      |      |      |      |      |      |                        |                        |                                             |
| S4<br>Gender Diversity                                                                                       | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Number of employees                                                                                          | number | 61   | 62   | 66   | 70   | 74   | 76   | 25%                    | 3%                     | X                                           |
| Ratio of women in the company                                                                                | %      | 38%  | 40%  | 44%  | 43%  | 43%  | 42%  | 12%                    | -3%                    | X                                           |
| Entry-level and middle managers                                                                              | number | 52   | 52   | 56   | 64   | 63   | 67   | 29%                    | 6%                     | X                                           |
| Percentage of women in entry-level and middle management positions within the company                        | %      | 31%  | 34%  | 36%  | 39%  | 44%  | 46%  | 49%                    | 4%                     | X                                           |
| Supervisors and management                                                                                   | number | 9    | 10   | 10   | 11   | 11   | 13   | 44%                    | 18%                    | X                                           |
| Proportion of women in management positions                                                                  | %      | 44%  | 40%  | 50%  | 45%  | 45%  | 31%  | -30%                   | -32%                   | X                                           |
| Nasdaq: S4IUNGC: P6IGRI: 102-8, 405-1ISASB: General Issue / Employee Engagement, Diversity & Inclusion       |        |      |      |      |      |      |      |                        |                        |                                             |
| S5<br>Proportion of Temporary Staff                                                                          | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| The total number of part-time employees within the company                                                   | %      | 18%  | 15%  | 14%  | 14%  | 15%  | 16%  | -12%                   | 6%                     | X                                           |
| Nasdaq: S5IGRI: 102-8IUNGC: P6                                                                               |        |      |      |      |      |      |      |                        |                        |                                             |



| S6<br>Anti-Discrimination Action                                                                                                                                                                   | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Within the scope of<br>Deloitte's assurance |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|------|------|------|------|------|------|------------------------|------------------------|---------------------------------------------|
| Does the company follow a policy against sexual harassment and/or equality policy?                                                                                                                 | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| Nasdaq: S6IUNG: P6IGRI: 103-2 (see also: GRI 406: Non-Discrimination 2016)ISASB: General Issue / Employee Engagement, Diversity & Inclusion                                                        |        |      |      |      |      |      |      |                        |                        |                                             |
| S7<br>Frequency of Occupational Accidents                                                                                                                                                          | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Total number of injuries and fatalities as a percentage of the total number of employees                                                                                                           | %      | 3.3% | 4.8% | 3.0% | 1.4% | 1.4% | 1.3% | -60%                   | -3%                    | X                                           |
| Nasdaq: S7IGRI: 403-9ISDG: 3ISASB: General Issue / Employee Health & Safety                                                                                                                        |        |      |      |      |      |      |      |                        |                        |                                             |
| S8<br>Global Health and Safety                                                                                                                                                                     | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Does the company enforce an occupational health and safety policy and/or a global health and safety policy?                                                                                        | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| Average number of sick days per employee                                                                                                                                                           | days   | 4.97 | 3.15 | 6.96 | 8.26 | 7.24 | 4.55 | 8%                     | -37%                   |                                             |
| Nasdaq: S8IGRI: 103-2 (see also: GRI 403: Occupational Health & Safety 2018)ISDG: 3ISASB: General Issue / Employee Health & Safety                                                                 |        |      |      |      |      |      |      |                        |                        |                                             |
| S9<br>Child and Forced Labour                                                                                                                                                                      | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |                        | Changes<br>2023 - 2024 |                                             |
| Does the company enforce a policy against child labour?                                                                                                                                            | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| Does the company enforce a policy against forced labour?                                                                                                                                           | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| If yes, do the policies cover the activities of suppliers and manufacturers?                                                                                                                       | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| "S9IGRI: 103-2 (See also: GRI 408: Child Labor 2016, GRI 409: Forced or Compulsory Labor, and GRI 414: Supplier Social Assessment 2016)IUNG: P4, P5ISDG: 8ISASB: General Issue / Labor Practices"  |        |      |      |      |      |      |      |                        |                        |                                             |
| S10<br>Human Rights                                                                                                                                                                                | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |                        | Changes<br>2023 - 2024 |                                             |
| Does the company follow a human rights policy?                                                                                                                                                     | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| If yes, does the human rights policy extend to suppliers and manufacturers?                                                                                                                        | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| "S10IGRI: 103-2 (See also: GRI 412: Human Rights Assessment 2016 & GRI 414: Supplier Social Assessment 2016)IUNG: P1, P2ISDG: 4, 10, 16I SASB: General Issue / Human Rights & Community Relations" |        |      |      |      |      |      |      |                        |                        |                                             |



# Corporate Governance

| G1<br>Gender Ratio on the Board of Directors                                                                                                                                                                                             | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 | Within the scope of<br>Deloitte's assurance |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|------|------|------|------|------|------|------------------------|------------------------|---------------------------------------------|
| Percentage of female board members (as compared with males)                                                                                                                                                                              | %      | 60%  | 60%  | 60%  | 60%  | 60%  | 60%  | 0%                     | 0%                     | X                                           |
| Percentage of female committee members (as compared with males)                                                                                                                                                                          | %      | 67%  | 67%  | 67%  | 67%  | 67%  | 67%  | 0%                     | 0%                     | X                                           |
| Nasdaq: G1IGRI 405-1ISDG: 10ISASB: General Issue / Employee Engagement, Diversity & Inclusion (See also: SASB Industry Standards)                                                                                                        |        |      |      |      |      |      |      |                        |                        |                                             |
| G2<br>Independence of the Board of Directors                                                                                                                                                                                             | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Has the company prohibited the CEO from acting as Chairman of the Board?                                                                                                                                                                 | yea/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| Percentage of independent Board members                                                                                                                                                                                                  | %      | 100% | 100% | 100% | 80%  | 60%  | 60%  | -40%                   | 0%                     | X                                           |
| Nasdaq: G2IGRI: 102-23, 102-22                                                                                                                                                                                                           |        |      |      |      |      |      |      |                        |                        |                                             |
| G3<br>Bonuses                                                                                                                                                                                                                            | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Do managers receive a formal incentive for success in the field of sustainability?                                                                                                                                                       | yes/no | no   | no   | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| Nasdaq: G3IGRI: 102-35                                                                                                                                                                                                                   |        |      |      |      |      |      |      |                        |                        |                                             |
| G4<br>Collective Wage Agreements                                                                                                                                                                                                         | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Percentage of employees covered by general collective wage agreements                                                                                                                                                                    | %      | 100% | 100% | 100% | 100% | 100% | 100% |                        | 0%                     | X                                           |
| G4IUNG: P3ISDG: 8IGRI: 102-41ISASB: General Issue / Labor Practices (See also: SASB Industry Standards)                                                                                                                                  |        |      |      |      |      |      |      |                        |                        |                                             |
| G5<br>Siðareglur birgja                                                                                                                                                                                                                  | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Ber seljendum og birgjum félagsins að fylgja siðareglum?                                                                                                                                                                                 | yea/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| Ef svarið er já, hversu hátt hlutfall birgja hefur formlega staðfest að þeir fylgi siðareglunum?                                                                                                                                         | %      | 0%   | 0%   | 0%   | 0%   | 0%   | 0%   | 0%                     | 0%                     | X                                           |
| G5IUNG: P2, P3, P4, P8IGRI: 102-16, 103-2 (See also: GRI 308: Supplier Environmental Assessment 2016 & GRI 414: Supplier Social Assessment 2016ISDG: 12ISASB General Issue / Supply Chain Management (See also: SASB Industry Standards) |        |      |      |      |      |      |      |                        |                        |                                             |
| G5<br>Supplier Code of Ethics                                                                                                                                                                                                            | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2019 - 2024 | Changes<br>2023 - 2024 |                                             |
| Are sellers and suppliers of the company obliged to follow a Code of Ethics?                                                                                                                                                             | yea/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                        | X                                           |
| If yes, how high of a percentage of suppliers has formally confirmed that they follow a Code of Ethics?                                                                                                                                  | %      | 100% | 100% | 100% | 100% | 100% | 100% | 0%                     | 0%                     | X                                           |
| Nasdaq: G6IUNG: P10ISDG: 16IGRI: 102-16, 103-2 (See also: GRI 205: Anti-Corruption 2016)                                                                                                                                                 |        |      |      |      |      |      |      |                        |                        |                                             |





| G6<br>Ethics and Anti-Corruption Measures                                                                                           |  |  |  |  |  |  |  | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2023 - 2024 | Within the scope of<br>Deloitte's assurance |     |     |   |   |
|-------------------------------------------------------------------------------------------------------------------------------------|--|--|--|--|--|--|--|--------|------|------|------|------|------|------|------------------------|---------------------------------------------|-----|-----|---|---|
| Does the company enforce a Code of Ethics and/or an anti-corruption or anti-bribery policy?                                         |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                                             | X   |     |   |   |
| If yes, how high of a percentage of employees has formally confirmed that they follow the policy?                                   |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  |                        |                                             | X   |     |   |   |
| Nasdaq: G7IGRI: 418 Customer Privacy 2016ISASB: General Issue / Customer Privacy, Data Security (See also: SASB Industry Standards) |  |  |  |  |  |  |  |        |      |      |      |      |      |      |                        |                                             |     |     |   |   |
| G8<br>Sustainability Report                                                                                                         |  |  |  |  |  |  |  | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2023 - 2024 |                                             |     |     |   |   |
| Does the company publish a sustainability report?                                                                                   |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  | yes                    |                                             |     | X   |   |   |
| If yes: Does the sustainability report contain sections on social factors, governance and environmental factors?                    |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  | yes                    |                                             |     | X   |   |   |
| Does the company's provision of reports to authorities include data on sustainability?                                              |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  | yes                    |                                             | yes |     | X |   |
| Nasdaq: G8IUNGC: P8                                                                                                                 |  |  |  |  |  |  |  |        |      |      |      |      |      |      |                        |                                             |     |     |   |   |
| G9<br>Disclosure Procedures                                                                                                         |  |  |  |  |  |  |  | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2023 - 2024 |                                             |     |     |   |   |
| Does the company provide sustainability information to recognised bodies in an organised manner?                                    |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  | yes                    |                                             | yes |     | X |   |
| Does the company focus on any specific United Nations Sustainable Development Goals (UN SDGs)?                                      |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  | yes                    |                                             | yes | yes |   | X |
| Has the company set goals and disclosed the results that have been achieved?                                                        |  |  |  |  |  |  |  | yes/no | yes  | yes  | yes  | yes  | yes  | yes  | yes                    |                                             | yes | yes |   | X |
| Nasdaq: G9IUNGC: P8                                                                                                                 |  |  |  |  |  |  |  |        |      |      |      |      |      |      |                        |                                             |     |     |   |   |
| G10<br>External audit/certification                                                                                                 |  |  |  |  |  |  |  | Unit   | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Changes<br>2023 - 2024 |                                             |     |     |   |   |
| Is disclosure on sustainability ensured or confirmed by a third party?                                                              |  |  |  |  |  |  |  | yes/no | no   | no   | yes  | yes  | yes  | yes  | yes                    |                                             | yes |     | X |   |
| Nasdaq: G10IUNGC: P8IGRI: 102-56                                                                                                    |  |  |  |  |  |  |  |        |      |      |      |      |      |      |                        |                                             |     |     |   |   |



# ESRS Acronyms



| Skammst. | Bls. | ESRS part                                                                                                                                                                                                                   | Explanation                                                                                                                        |
|----------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| BP-1     | 73   | <b>Basis for Preparation 1</b> - General basis for preparation of the sustainability statements                                                                                                                             | General basis for the preparation of sustainability reports.                                                                       |
| BP-2     | 73   | <b>Basis for Preparation 2</b> - Disclosures in relation to specific circumstances                                                                                                                                          | Description of information sharing regarding special circumstances which may impact the sustainability information of the company. |
| GOV-1    | 49   | <b>Governance 1</b> - The role of the administrative, management and supervisory bodies                                                                                                                                     | Description of the role of the board, the executive committee, and other administrators related to corporate governance.           |
| SBM-1    | 55   | <b>Strategy &amp; Business Model 1</b> - Strategy, business model, and value chain                                                                                                                                          | Explanation of the company's policy formation, its business model, and value chain.                                                |
| SBM-2    | 56   | <b>Strategy &amp; Business Model 2</b> - Interests and views of stakeholders                                                                                                                                                | Explains why the company considers stakeholders in its policy formation.                                                           |
| IRO-1    | 58   | <b>Impacts, Risks &amp; Opportunities 1</b> - Description of the processes to identify and assess material impacts, risks and opportunities                                                                                 | Description of methods to analyse and estimate important effects, risks, and opportunities.                                        |
| IRO-2    | 58   | <b>Impacts, Risks &amp; Opportunities 2</b> - Disclosure requirements in ESRS covered by the undertaking's sustainability statement                                                                                         | Information on how the company fulfils ESRS requirements regarding sustainability.                                                 |
| E1-1     | 62   | <b>Environmental Standard 1-1</b> - Transition plan for climate change mitigation                                                                                                                                           | Policy and actions to reduce carbon footprint and adapt to climate change.                                                         |
| E1-2     | 63   | <b>Environmental Standard 1-2</b> - Policies related to climate change mitigation and adaptation                                                                                                                            | Policies and actions by the company to address climate change.                                                                     |
| E1-3     | 63   | <b>Environmental Standard 1-3</b> - Actions and resources in relation to climate change policies                                                                                                                            | Explanation of the financing and implementation of climate projects.                                                               |
| E1-4     | 66   | <b>Environmental Standard 1-4</b> - Targets related to climate change mitigation and adaptation                                                                                                                             | Goals set related to the company's climate actions.                                                                                |
| E1-5     | 67   | <b>Environmental Standard 1-5</b> - Energy consumption and mix                                                                                                                                                              | Information regarding the energy use of the company and its energy sources.                                                        |
| E1-6     | 75   | <b>Environmental Standard 1-6</b> - Gross Scopes 1, 2, 3, and Total GHG emissions                                                                                                                                           | Description of greenhouse gas emissions according to different emissions categories.                                               |
| S1-1     | 44   | <b>Social Standard 1-1</b> - Policies related to own workforce                                                                                                                                                              | Regulations and policy regarding the company's own staff.                                                                          |
| S1-2     | 44   | <b>Social Standard 1-2</b> - Processes for engaging with own workforce and workers' representatives about impacts                                                                                                           | The company's communication methods with its staff and representatives.                                                            |
| S1-3     | 44   | <b>Social Standard 1-3</b> - Processes to remediate negative impacts and channels for own workforce to raise concerns                                                                                                       | Methods to deal with negative effects and how staff can share concerns.                                                            |
| S1-4     | 44   | <b>Social Standard 1-4</b> - Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions | Measures undertaken related to impact on staff.                                                                                    |
| S1-5     | 44   | <b>Social Standard 1-5</b> - Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities                                                               | Goals for reducing negative effects and increasing positive effects.                                                               |
| S1-6     | 44   | <b>Social Standard 1-6</b> - Characteristics of the undertaking's employees                                                                                                                                                 | Information regarding age, gender, and diversity in the group of employees.                                                        |
| S1-7     | 44   | <b>Social Standard 1-7</b> - Characteristics of non-employees in the undertaking's own workforce                                                                                                                            | Information regarding those who work for the company without full employment.                                                      |
| S1-8     | 44   | <b>Social Standard 1-8</b> - Collective bargaining coverage and social dialogue                                                                                                                                             | Ratio of staff subject to collective wage agreements and communication with trade unions.                                          |
| S1-9     | 44   | <b>Social Standard 1-9</b> - Diversity metrics                                                                                                                                                                              | Equality and diversity information regarding the group of employees.                                                               |
| G1-1     | 52   | <b>Governance Standard 1-1</b> - Business conduct policies and corporate culture                                                                                                                                            | Description of the operation's code of ethics and corporate culture.                                                               |
| G1-2     | 53   | <b>Governance Standard 1-2</b> - Management of relationships with suppliers                                                                                                                                                 | Policy and procedure for managing business relationships with suppliers.                                                           |
| G1-3     | 54   | <b>Governance Standard 1-3</b> - Prevention and detection of corruption and bribery                                                                                                                                         | Actions to prevent and analyse corruption and bribery.                                                                             |
| G1-4     | 54   | <b>Governance Standard 1-4</b> - Incidents of corruption or bribery                                                                                                                                                         | Description of the registration of corruption and bribery incidents and reactions thereto.                                         |



## Disclaimer

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